

2

Recording Business Transactions



SPOTLIGHT

Daimler AG

www.daimler.com/en/



Daimler AG is a German multinational automotive company and one of the world's most successful ones. The Daimler Group ranks among the biggest producers of premium cars (with its Mercedes-Benz cars, including Maybach and AMG variants) and commercial vehicles (with Daimler Trucks, Mercedes-Benz Vans, Daimler Buses, and others). It also provides various financing, leasing, insurance, and financial investments services through Daimler Financial Services. ●

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How does Daimler determine the amount of its revenues, expenses, and net income? The numbers can't possibly be random. Like all other companies, Daimler has a comprehensive accounting system. Daimler's Income Statement shows that during the financial year ended December 31, 2015, it made just under €150,000 million of sales and earned a net income of €8,711 million.

A1			
	A	B	C
1	Daimler AG	Year Ended	
2	Consolidated Income Statement	December 31	
3	(Adapted, in millions of €)	2015	2014
4	Revenue	€ 149,467	€ 129,872
5	Cost of revenue	(117,670)	(101,688)
6	Gross profit	31,797	28,184
7	Selling expenses	(12,147)	(11,534)
8	General administrative expense	(3,710)	(3,329)
9	Research expenditures	(4,760)	(4,532)
10	Other operating income	2,114	1,759
11	Other operating expense	(555)	(1,160)
12	Operating income	12,739	9,388
13	Income from equity investments	464	897
14	Other financial income/expense	(27)	458
15	Interest income	170	145
16	Interest expense	(602)	(715)
17	Income taxes	(4,033)	(2,883)
18	Net profit	€ 8,711	€ 7,290

You can also see below that Daimler has assets totaling under €217.2 billion, funded by liabilities of €162.5 billion and total equity of €54.6 billion.

A1			
	A	B	C
1	Daimler AG	As at December 31	
2	Consolidated Balance Sheet	2015	2014
3	(Adapted, in millions of €)		
4	Cash and cash equivalents	9,936	9,667
5	Inventories	23,760	20,864
6	Trade receivables	9,054	8,634
7	All other current assets	49,097	37,980
8	Total current assets	91,847	77,145
9	Property, plant and equipment	24,322	23,182
10	Intangible assets	10,069	9,367
11	All other non-current assets	90,928	79,941
12	Total non-current assets	125,319	112,490
13	Total assets	217,166	189,635
14	Trade payables	10,548	10,178
15	Loans and borrowings	41,311	36,290
16	All other current liabilities	25,222	20,506
17	Total current liabilities	77,081	66,974
18	Loans and borrowings	59,831	50,399
19	All other non-current liabilities	25,630	27,678
20	Total non-current liabilities	85,461	78,077
21	Total liabilities	162,542	145,051
22	Share capital	3,070	3,070
23	Retained earnings	36,991	28,487
24	Other equity items	14,563	13,027
25	Total equity	54,624	44,584
26	Total liabilities and equity	217,166	189,635

How does Daimler know the amount of assets, liabilities, and equity it has? This chapter will show you how companies, large and small, actually record the transactions that eventually become part of the financial statements. We will discover that all companies, including Daimler, record their transactions based on a double-entry accounting system.

LEARNING OBJECTIVES

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|--|--|
| <p>1 Explain what a business transaction is</p> <p>2 Keep track of financial statement items</p> <p>3 Analyze the impact of business transactions on accounts</p> | <p>4 Record (journalize and post) transactions in the books</p> <p>5 Construct and use a trial balance</p> |
|--|--|

1 Explain what a business transaction is

EXPLAIN WHAT A BUSINESS TRANSACTION IS

Financial statements summarize the effects of economic phenomena in words and numbers. They show the resources of an entity and claims to those resources. To be able to do this, an entity must be able to capture information about its economic resources and claims against these resources as well as the effects of transactions, other events, and conditions that change those resources and claims. A **transaction** is any event that has a financial impact on the business and can be measured reliably. For example, Daimler sells cars, borrows money, pays for materials, pays salaries and taxes, and buys equipment—these are all separate transactions.

But not all events qualify as transactions. Daimler may apply for a bank loan, but no transaction will be recorded until it has utilized the loan facility. Automotive retailers may place an order with Daimler and it will not be recorded as a transaction until Daimler delivers the cars to its customers. A transaction, i.e., a change in the organization's resources and claims to those resources, must occur before Daimler records anything.

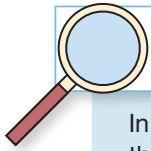
Transactions provide objective information about the financial impact of an exchange on an entity. Transactions reflect increases and/or decreases to financial statement elements. While the financial impact of a transaction is generally measurable, usually reflected by a quantifiable monetary amount—the price charged/paid and the amount of cash collected/paid—in certain situations, some estimation based on observable data or assumptions may be necessary. In accounting, we always record these effects so that the eventual financial statements are relevant and faithfully represent the economic phenomenon that transpired during the reporting period.

2 Keep track of financial statement items

KEEP TRACK OF FINANCIAL STATEMENT ITEMS

As we saw in Chapter 1, we account for the five elements of financial statements: assets, liabilities, equity, income, and expenses. Income increases equity and expense decreases equity. Thus, we can think of income and expenses as a component of equity for our initial study on how business transactions are recorded.

Businesses need a sufficient level of information from an accounting system. Daimler would not be able to operate if its accounting system only captured total assets, total liabilities, total equity, total income, and total expenses. It would want to know what comprises the totals. In accounting, we call this “item of interest” an account. An **account** is the record of all the changes in a particular asset, liability, or shareholders' equity during a period. The account is the basic summary device of accounting. Obviously, the *more details* you desire, the *more accounts* you will need to keep track of. A multinational corporation's accounting system may utilize millions of accounts!



A Closer Look

In the next section, we will discuss some accounts that entities keep track of within their accounting systems. Different entities may use slightly different names to represent these accounts, due to historical and cultural factors and preference. For example, while many entities now use the term “Property, Plant and Equipment” (or PPE), U. S. companies tend to label them “Plant Assets,” and others prefer the label them “Fixed Assets.” Americans uses the term “stock” for both inventory and shares. For example, a statement like “I have sold all my Apple stocks” may mean Apple products or Apple shares. Similarly, many non-American entities will use the term “shareholders” as opposed to “stockholders.” In our discussions, we will give you some synonyms or alternative account names so you can have a wider understanding of what different entities use in practice.

Let’s review some of the accounts that a company such as Daimler would use in recording business transactions.

Assets

Assets are economic resources that provide a future benefit for a business. Most firms use the following asset accounts:

Cash. Cash is money and any medium of exchange including bank account balances, paper currency, coins, certificates of deposit, and checks.

Accounts Receivable. Daimler, like most other companies, sells its goods and services and receives a promise for future collection of cash. The Accounts Receivable account holds these amounts. Some entities prefer to use the label Debtors or Receivables for this account.

Notes Receivable. Daimler may receive a notes receivable from a customer, who signed the note promising to pay Daimler. A notes receivable is similar to an accounts receivable, but it is usually more binding because the customer signed the promissory note to pay on a certain day (or after a certain period). Notes receivable usually specify an interest rate.

Inventory. Daimler’s most important asset is its inventory—the cars it sells to its customers. Other titles for this account include *Stocks* and *Merchandise Inventory*.

Prepaid Expenses. Don’t be misled by the word “expenses” in this account title. A **prepaid expense** or prepayment is an asset because the payment provides a *future* economic benefit for the business. Businesses like Daimler can often be asked to pay early for rental charges and insurance premiums. Such businesses could also be asked to place deposits for services required.

Property, Plant and Equipment (PPE). This is a summary account for Daimler’s assets that are expected to be used for more than one period for the purposes of production or supply of goods or services or for administrative purposes. Some of the more common **PPE** items are described below:

- **Land.** The Land account shows the cost of the land Daimler uses in its operations.
- **Buildings.** The costs of Daimler’s office building, manufacturing plant, and the like appear in the Buildings account.
- **Equipment, Furniture, and Fixtures.** Daimler has a separate asset account for each type of equipment, for example, Manufacturing Equipment and Office Equipment. The Equipment, Furniture, and Fixtures account shows the cost of these assets, which are similar to equipment.

Liabilities

Recall that a *liability* is an obligation to pay an individual or organization. A payable is always a liability. The most common types of liabilities include:

Accounts Payable. The Accounts Payable account is the direct opposite of Accounts Receivable. Daimler's promise to pay a debt arising from a credit purchase of inventory or from a utility bill appears in the Accounts Payable account. Similarly, some businesses prefer to label the accounts payable as Creditors or Payables.

Notes Payable. A notes payable is the opposite of a notes receivable. The Notes Payable account includes the amounts Daimler must *pay* because it signed notes promising to pay a future amount. Notes payable, like notes receivable, usually carry interest.

Accrued Liabilities. An **accrued liability** is a liability for an expense you have not yet incurred. Interest Payable and Salary Payable are accrued liability accounts for most companies.

Equity

The owners' claims to the assets of a corporation are called *shareholders' equity*, *owners' equity*, or simply *equity*. A corporation such as Daimler uses Share Capital, Retained Earnings, and Dividends accounts to record the various components of shareholders' equity. In a proprietorship, there is a single capital account. For a partnership, each partner has a separate capital account.

Share Capital. The Share Capital account shows the owners' investment in the corporation. Daimler receives cash and issues shares to its shareholders. A company's common share capital is its most basic element of equity. All corporations have ordinary shares. We will examine other forms of share capital later in Chapter 10.

Retained Earnings. The Retained Earnings account shows the cumulative net income earned by Daimler over the company's lifetime, minus its cumulative net losses and dividends.

Dividends. Dividends are optional; they are *declared* by the board of directors (may require shareholders' approval at the corporation's annual general meeting). After profitable operations, the board of directors of Daimler may declare and pay dividends. The corporation usually keeps a separate account titled *Dividends*, which indicates a decrease in retained earnings for the financial year.



Stop & Think

Name two things that (1) increase Daimler's shareholders' equity and (2) decrease Daimler's shareholders' equity.

Answer:

- (1) Increases in equity: Issuance of share capital and net income (revenues greater than expenses).
- (2) Decreases in equity: Dividends and net loss (expenses greater than revenues).

Income. The increase in shareholders' equity from delivering goods or services to customers is usually called *revenue* or *sales revenue*. The company uses as many income accounts as needed. Daimler uses a Sales Revenue account for revenue earned by selling its products. An accountant provides accountancy services for clients and uses a Service Revenue account. A business that loans money to an outsider needs an Interest Income account. If the business rents a building to a tenant, the business needs a Rent Revenue or Rental Income account.

Expenses. The cost of operating a business is called *expense*. Expenses *decrease* shareholders' equity, the opposite effect of revenues. A business needs a separate account for each type of expense, such as cost of goods sold, salary expense, rent expense, advertising expense, insurance expense, utilities expense, and income tax expense. The more it wants to keep track of an item of interest, the more detailed its accounts will be. Thus, the level of details captured in the accounting system depends on the information required by the business. Businesses with less total expenses than total income will report a net profit, and those with more total expenses than total income will report a net loss. Again, there is no fixed number of expense accounts a business needs to maintain.

ANALYZE THE IMPACT OF BUSINESS TRANSACTIONS ON ACCOUNTS

Example: RedLotus, Inc.

To illustrate the accounting for transactions, let's return to RedLotus Travel, Inc. In the Chapter 1 End-of-Chapter problem, Starr Williams opened RedLotus Travel, Inc., in April 20X8.

We will consider 11 events and analyze each in terms of its effect on RedLotus Travel. We will begin by using the accounting equation. Income and expense transactions are taken directly to equity for this illustration. In the second half of the chapter, we will record transactions using the journal and ledger of the business.

3 Analyze the impact of business transactions on accounts

Try It in Excel®

As you review the 11 transactions, build an Excel template. Use the accounting equation ($\text{Assets} = \text{Liabilities} + \text{Shareholders' Equity}$) as a model. Remember that each transaction has either an equal effect on both the left- and right-hand sides of the accounting equation, or an offsetting effect (both positive and negative) on the same side of the equation.

Re-create the spreadsheet in Exhibit 2-1, Panel B (page 68), step by step, as you go along. In Excel, open a new blank spreadsheet.

Step 1 Format the worksheet. Label cell A2 "Trans." You will put transaction numbers corresponding to the transactions below in the cells in column A. Row 1 will contain the elements of the accounting equation. Enter "Assets" in cell D1. Enter an "=" sign in cell F1. Enter "Liabilities + Shareholders' Equity" in cell G1. Enter "Type of SE Transaction" (abbreviation for shareholders' equity) in cell J1. Highlight cells B1 through E1 and click "merge and center" on the top toolbar. Highlight cells G1 through I1 and click "merge and center." Now you will have a spreadsheet organized around the elements of the accounting equation: " $\text{Assets} = \text{Liabilities} + \text{Shareholders' Equity}$ " and, for all transactions impacting shareholders' equity, you will be able to enter the type (capital share, revenue, expense, or dividends). This will be important later when you construct the financial statements (Exhibit 2-2, page 69).

Step 2 Continue formatting. In cells B2 through E2, enter the asset account titles that transactions 1–11 deal with: B2: Cash; C2: AR (an abbreviation for accounts receivable); D2: Supplies; E2: Land. In cells G2 through I2, enter the liability and stockholders' equity account titles that RedLotus Travel, Inc.'s, transactions deal with: G2: AP (an abbreviation for accounts payable); H2: SC (an abbreviation for share capital); and I2: RE (abbreviation for retained earnings; this is where all transactions impacting revenue, expenses, and dividends will go for now).

Step 3 In Row 15, enter the formula to sum each column from B through E and G through I. For example, the formula in cell B15 should be " $=\text{sum}(B3:B14)$." In cell A15, enter "Bal." This will allow you to keep a running sum of the accounts in the Balance Sheet as you enter each transaction.

Step 4 In cell A16, enter "Totals." In cell C16, enter "`=sum(B15:E15)`." In cell H16, enter "`=sum(G15:I15)`." You can use the short cut symbol " Σ " followed by highlighting the respective cells. Excel allows you to keep a running sum of the column totals on each side of the equation. You should find that the running sum of the column totals on the left-hand side of the equation always equals the running sum of the column totals on the right-hand side, so the accounting equation always stays in balance. As a final formatting step, highlight cells B3 through I16. Using the "number" tab on the toolbar at the top of the spreadsheet, select "Accounting" for format with no \$ sign, and select "decrease decimal" to zero places. Now you're ready to process the transactions.

Transaction 1. Starr and a few friends invest \$50,000 to open RedLotus Travel, Inc., and the business issues ordinary share capital to the shareholders. The effect of this transaction on the accounting equation of RedLotus Travel, Inc., is a receipt of cash and issuance of ordinary share capital:

Assets		Liabilities	+	Shareholders' Equity	Type of Shareholders' Equity Transaction
Cash	=			Share Capital	
(1) + 50,000				+ 50,000	Issued share capital

Every transaction's net amount on the left side of the accounting equation must equal the net amount on the right side. The first transaction increases both the cash and the share capital of the business. If you're following along in Excel, enter 1 in cell A3 of the spreadsheet you are creating. Enter 50000 in cell B3 (under Cash) and 50000 in cell H3 (under Share Capital). To the right of the transaction in cell J3, write "Issued share capital" to show the reason for the increase in stockholders' equity. You don't have to enter commas; Excel will do that for you. Notice that the sum of Cash (cell B15) is now 50,000, and the sum of Common Stock (cell H15) is also 50,000. The total of accounts on the left side of the accounting equation is 50,000 (cell C16), and it equals the total of accounts on the right side of the accounting equation (cell H16).

Every transaction affects the financial statements of the business, and we can prepare financial statements after one, two, or any number of transactions. For example, RedLotus Travel, Inc., could report the company's Balance Sheet after its first transaction, shown as follows.

This Balance Sheet shows that the business holds cash of \$50,000 and owes no liabilities. The shareholders' equity is recorded as *share capital* on the Balance Sheet. A bank would look favorably on this Balance Sheet because the business has \$50,000 cash and no debt—a strong financial position.

A1	A	B	C	D
1	RedLotus Travel, Inc. Balance Sheet April 1, 20X8			
2	Assets		Liabilities	
3	Cash	\$ 50,000	None	
4				
5			Shareholders' Equity	
6			Share capital	\$ 50,000
7			Total shareholders' equity	50,000
8			Total liabilities and	
9	Total assets	\$ 50,000	shareholders' equity	\$ 50,000
10				

In this example, we are going to show you how each business transaction is reflected in the financial statements immediately. However, as a practical matter, most entities report their financial statements at the end of the accounting period, not after each transaction. But an accounting system can produce statements whenever managers need to know where the business stands.

Transaction 2. RedLotus purchases land and pays cash of \$40,000. The effect of this transaction on the accounting equation is:

Assets			}	=	Liabilities + Shareholders' Equity		Type of Shareholders' Equity Transaction
Cash	+	Land				Share Capital	
(1) 50,000						50,000	Issued share capital
(2) -40,000		+40,000					
Bal. 10,000		40,000				50,000	
50,000						50,000	

The purchase increases one asset (Land) and decreases another asset (Cash) by the same amount. If you're following along in Excel, enter a 2 in cell A4. Enter -40000 in cell B4 and 40000 in cell E4. The spreadsheet automatically updates, showing that after the transaction is completed, RedLotus has cash of \$10,000, land of \$40,000, and no liabilities. Shareholders' equity is unchanged at \$50,000. Note that total assets must always equal total liabilities plus equity. Alternatively, you can say equity is always the residual of assets less liabilities.

Transaction 3. The business buys supplies on account, agreeing to pay \$3,700 within 30 days. This transaction increases both the assets and the liabilities of the business. Its effect on the accounting equation follows:

Assets				}	=	Liabilities + Shareholders' Equity	
Cash	+	Supplies	Land			Accounts Payable	Share Capital
Bal. 10,000			40,000				50,000
(3)		+3,700				+3,700	
Bal. 10,000		3,700	40,000			3,700	50,000
53,700						53,700	

The new asset is Supplies, and the liability is an account payable. RedLotus signs no formal promissory note, so the liability is an account payable, not a note payable.

Transaction 4. RedLotus earns \$7,000 of service revenue by providing services for customers. The business collects the cash. The effect on the accounting equation is an increase in the asset Cash and an increase in equity (via the Retained Earnings account), as follows:

Assets				}	=	Liabilities + Shareholders' Equity			Type of Shareholders' Equity Transaction
Cash	+	Supplies	Land			Accounts Payable	Share Capital	Retained Earnings	
Bal. 10,000		3,700	40,000			3,700	50,000		
(4) +7,000								+7,000	Service revenue
Bal. 17,000		3,700	40,000			3,700	50,000	7,000	
60,700						60,700			

In the Excel spreadsheet on line 6, we enter 7000 under Cash (cell B6) and 7000 under Retained Earnings (cell I6). In cell J6, we enter "Service revenue" to show where the \$7,000 of increase in retained earnings came from. Our grand totals on the bottom of the spreadsheet now show \$60,700 for total assets as well as \$60,700 for total liabilities and shareholders' equity.

Transaction 5. RedLotus performs service on account, which means that RedLotus lets some customers pay later. RedLotus earns revenue but doesn't receive the cash immediately. In Transaction 5, RedLotus cleans a fleet of UPS delivery trucks, and UPS promises to pay RedLotus \$3,000 within one month. This promise is an account receivable—an asset—of RedLotus, Inc. The transaction record follows:

Assets					Liabilities + Shareholders' Equity			Type of Shareholders' Equity Transaction
	Cash	Accounts Receivable	Supplies	Land	Accounts Payable	Share Capital	Retained Earnings	
Bal.	17,000		3,700	40,000	3,700	50,000	7,000	
(5)		+ 3,000					+ 3,000	Service revenue
Bal.	17,000	3,000	3,700	40,000	3,700	50,000	10,000	
	63,700				63,700			

Remember, performing the service is what earns RedLotus the revenue—not collecting the cash. Therefore, RedLotus records revenue when it performs the service—regardless of whether RedLotus receives cash now or later. In your Excel spreadsheet, enter 3000 under Accounts Receivable on the left-hand side (cell C7) and 3000 under Retained Earnings on the right-hand side (cell I7). Also enter “Service revenue” in cell J7 to keep a record of the type of transaction (revenue) that affects shareholders’ equity (SE). (This is an application of accrual accounting you read about earlier in Chapter 1. We will explore accrual accounting in greater detail in Chapter 3.)

Transaction 6. During the month, RedLotus, Inc., pays \$2,700 for the following expenses: equipment rent, \$1,100; employee salaries, \$1,200; and utilities, \$400. The effect on the accounting equation is:

Assets					Liabilities + Shareholders' Equity			Type of Shareholders' Equity Transaction
	Cash	Accounts Receivable	Supplies	Land	Accounts Payable	Share Capital	Retained Earnings	
Bal.	17,000	3,000	3,700	40,000	3,700	50,000	10,000	
(6)	- 1,100						- 1,100	Rent expense
	- 1,200						- 1,200	Salary expense
	- 400						- 400	Utilities expense
Bal.	14,300	3,000	3,700	40,000	3,700	50,000	7,300	
	61,000				61,000			

The expenses decrease RedLotus Travel’s Cash and Retained Earnings accounts. List each expense separately to keep track of its amount.

Transaction 7. RedLotus Travel pays \$1,900 on account, which means to pay off an account payable. In this transaction RedLotus pays the store from which it purchased supplies in Transaction 3. The transaction decreases Cash (cell B11 on the Excel spreadsheet) and also decreases Accounts Payable (cell G11):

Assets					Liabilities + Shareholders' Equity		
	Cash	Accounts Receivable	Supplies	Land	Accounts Payable	Share Capital	Retained Earnings
Bal.	14,300	3,000	3,700	40,000	3,700	50,000	7,300
(7)	- 1,900				- 1,900		
Bal.	12,400	3,000	3,700	40,000	1,800	50,000	7,300
	59,100				59,100		

Transaction 8. Starr Williams, the major shareholder of RedLotus Travel, Inc., paid \$30,000 to remodel his home. This event is a personal transaction of the Williams family. It is not recorded by RedLotus. We focus solely on the business entity, not on its owners. This transaction illustrates the reporting entity concept from Chapter 1.

Transaction 9. In Transaction 5, RedLotus performed services for UPS on account. The business now collects \$1,000 from UPS. We say that RedLotus *collects the cash on account*, which

means that RedLotus Travel will record an increase in Cash and a decrease in Accounts Receivable. This is not service revenue because RedLotus Travel already recorded the revenue in Transaction 5. This transaction is entered on line 12 of the Excel spreadsheet as an increase in Cash (cell B12) and a decrease in AR (cell C12). The effect of collecting cash on account is:

Assets							}	=	Liabilities		+	Shareholders' Equity		
Cash	+	Accounts Receivable	+	Supplies	+	Land			Accounts Payable	+	Share Capital	+	Retained Earnings	
Bal.	12,400		3,000		3,700				40,000	1,800		50,000		7,300
(9)	+ 1,000		- 1,000											
Bal.	<u>13,400</u>		<u>2,000</u>		<u>3,700</u>		<u>40,000</u>		<u>1,800</u>		<u>50,000</u>		<u>7,300</u>	
							59,100			59,100				

Transaction 10. RedLotus Travel sells half of the land it bought for \$20,000. RedLotus receives \$22,000 cash and makes a \$2,000 gain on the sale of the land. The effect on the accounting equation is as follows:

Assets						Liabilities + Shareholders' Equity			Type of Shareholders' Equity Transaction				
	Cash	+	Accounts Receivable	+	Supplies	+	Land	Accounts Payable	+	Share Capital	+	Retained Earnings	
Bal.	13,400		2,000		3,700		40,000	1,800		50,000		7,300	
(10)	+ 22,000						- 20,000					+ 2,000	Gain from Sale of Land
Bal.	35,400		2,000		3,700		20,000	1,800		50,000		9,300	
	61,100							61,100					

Note that the company did not sell all its land; RedLotus Travel still owns \$20,000 worth of land. This transaction is entered in the Excel spreadsheet as an increase in Cash (cell B13) and a decrease in Land (cell E13).

A Closer Look

You may be wondering why we treat gains from disposal of land differently from sales revenue. Both are incomes, i.e., they ultimately increase equity. We will discuss this further in Chapters 3 and 4, but for now it is sufficient to note that revenue is generally used to record income from ordinary business activities. RedLotus Travel's ordinary business activity is providing travel services, not the buying and selling land; thus, the sale of land is more appropriately shown as a gain rather than as a revenue. Gains are reported net on the Income Statement.

Transaction 11. RedLotus Travel, Inc., declares a dividend and pays the shareholders \$2,100 cash. The effect on the accounting equation is as follows:

Assets					}	Liabilities + Shareholders' Equity			Type of Shareholders' Equity Transaction
Cash	Receivable	Supplies	Land	Accounts Payable		Share Capital	Retained Earnings		
Bal.	35,400	2,000	3,700	20,000	=	1,800	50,000	9,300	
(11)	- 2,100							- 2,100	Dividends
Bal.	33,300	2,000	3,700	20,000		1,800	50,000	7,200	
59,000						59,000			

The dividend decreases both the Cash (cell B14) and the Retained Earnings (cell I14) accounts of the business. *But dividends are not an expense*, because they are transactions with owners of the business. Therefore, enter “Dividend” in cell J14.

Transactions and Financial Statements

Exhibit 2-1 summarizes the 11 preceding transactions. Panel A gives the details of the transactions, and Panel B shows the transaction analysis.

Exhibit 2-1 Transaction Analysis: RedLotus Travel, Inc.

PANEL A—Transaction Details

- | | |
|---|---|
| (1) Received \$50,000 cash and issued shares to the owners | (7) Paid \$1,900 on the account payable created in Transaction 3 |
| (2) Paid \$40,000 cash for land | (8) Major shareholder paid personal funds to remodel home, <i>not</i> a transaction of the business |
| (3) Bought \$3,700 of supplies on account | (9) Received \$1,000 on account |
| (4) Received \$7,000 cash from customers for service revenue earned | (10) Sold half of the land for \$22,000 cash |
| (5) Performed services for a customer on account, \$3,000 | (11) Declared and paid a dividend of \$2,100 to the shareholders |
| (6) Paid cash expenses: rent, \$1,100; employee salary, \$1,200; utilities, \$400 | |

PANEL B—Transaction Analysis

Statement of Cash Flows Data

A1										
	A	B	C	D	E	F	G	H	I	J
1		Assets				=	Liabilities + Equity			Type of
2	Trans	Cash	Accounts Receivable	Supplies	Land		Accounts Payable	Share Capital	Retained Earnings	Equity Transaction
3	1	50,000						50,000		Issued share capital
4	2	(40,000)			40,000					
5	3			3,700			3,700			
6	4	7,000							7,000	Service revenue
7	5		3,000						3,000	Service revenue
8	6	(1,100)							(1,100)	Rent expense
9		(1,200)							(1,200)	Salary expense
10		(400)							(400)	Utilities expense
11	7	(1,900)					(1,900)			
12	9	1,000	(1,000)							
13	10	22,000			(20,000)				2,000	Gain from sale of land
14	11	(2,100)							(2,100)	Dividend
15	Bal	33,300	2,000	3,700	20,000		1,800	50,000	7,200	
16	Totals		59,000					59,000		
17										

Income Statement Data

Statement of Changes in Equity Data

Balance Sheet Data

Statement of Cash Flows Data

Income Statement Data
Statement of Changes in Equity Data

Balance Sheet Data

If you prepared an Excel spreadsheet, it should look very similar to Panel B. As you study the exhibit, note that every transaction maintains the equality of the accounting equation: $\text{Assets} = \text{Liabilities} + \text{Equity}$. Exhibit 2-1 provides the data for RedLotus Travel's financial statements:

- *Income Statement* data appear as revenues and expenses under Retained Earnings. The revenues increase retained earnings; the expenses decrease retained earnings.
- The *Balance Sheet* data are composed of the ending balances of the assets, liabilities, and shareholders' equities shown at the bottom of the exhibit. The accounting equation shows that total assets (\$59,000) equal total liabilities plus shareholders' equity (\$59,000).
- The *Statement of Changes in Equity* reconciles the movements in equity for the period. Issuance of share capital and net income increases total equity, whereas dividends decrease equity. Ending equity is the final result.
- Data for the *Statement of Cash Flows* are aligned under the Cash account. Cash receipts increase cash, and cash payments decrease cash.

Exhibit 2-2 shows the RedLotus Travel financial statements at the end of April 20X8, the company's first month of operations. Follow the flow of financial information to observe the following:

1. The *Income Statement* reports revenues, expenses, and either a net income or a net loss for the period. During April, RedLotus Travel earned net income of \$9,300. Compare RedLotus Travel's *Income Statement* with that of Daimler, at the beginning of the chapter. Notice both *Income Statements* show income and expenses for the period.
2. The *Statement of Changes in Equity* starts with the beginning balance of equity, which is zero for a new business. Add share capital contribution and net income for the period (arrow ①), subtract dividends, and compute the ending balance of equity (\$57,200).
3. The *Balance Sheet* lists the assets, liabilities, and shareholders' equity of the business at the end of the period. Included in shareholders' equity is retained earnings (net profit of \$9,300 less dividend paid of \$2,100). The ending equity balance from the *Statement of Changes in Equity* is shown on the *Balance Sheet* (arrow ②).

» Try It in Excel®

If you are familiar with Excel, a quick look at Exhibit 2-2 should convince you of how easy it is to prepare the *Income Statement*, *statement of retained earnings*, and *Balance Sheet* in Excel. If you have not already prepared them earlier, prepare three simple templates for each of these financial statements for RedLotus Travel, Inc. You may use these templates again, and add to them, in Chapter 3 as you learn the adjusting entry process.

Selected problems in MyLab Accounting have already prepared these templates for you. The mid-chapter summary problem will illustrate this with another small company.

Let's put into practice what you have learned so far.

Exhibit 2-2 Financial Statements of RedLotus Travel, Inc.

A1				
	A	B	C	D
1	RedLotus Travel, Inc.			
2	Income Statement			
3	Month Ended April 30, 20X8			
4	Income			
5	Service revenue (\$7,000 + \$3,000)	\$ 10,000		
6	Gain from sale of land	2,000	\$ 12,000	
7	Expenses			
8	Salary expense	1,200		
9	Rent expense	1,100		
10	Utilities expense	400	2,700	
11	Net Income		\$ 9,300	

A1				
	A	B	C	D
1	RedLotus Travel, Inc.			
2	Statement of Changes in Equity			
3	Month Ended April 30, 20X8			
4	Total equity, April 1, 20X*		\$ 0	
5	Add: Issuance of share capital		50,000	
6	Add: Net income for the month		9,300	
7			\$ 59,300	
8	Less: Dividends		(2,100)	
9	Total equity, April 30, 20X*		\$ 57,200	

A1				
	A	B	C	D
1	RedLotus Travel, Inc.			
2	Balance Sheet			
3	April 30, 20X8			
4	Assets		Liabilities	
5	Cash	\$ 33,300	Accounts payable	\$ 1,800
6	Accounts receivable	2,000	Shareholders' equity	
7	Supplies	3,700	Share capital	50,000
8	Land	20,000	Retained earnings	7,200
9			Total shareholders' equity	57,200
10	Total assets	\$ 59,000	Total liabilities and shareholders' equity	\$ 59,000

Mid-Chapter

Summary Problem

Shelly Richmond opens a research service near a college campus. She names the corporation Richmond Researchers Ltd. During the first month of operations, July 20X6, the business engages in the following transactions:

- Richmond Researchers Ltd. issues its ordinary shares to Shelly Richmond, who invests \$25,000 to open the business.
- The company purchases on account office supplies costing \$350.
- Richmond Researchers pays cash of \$20,000 to acquire a lot next to the campus. The company intends to use the land as a building site for a business office.
- Richmond Researchers performs research for clients and receives cash of \$1,900.
- Richmond Researchers pays \$100 on the account payable it created in transaction b.
- Richmond pays \$2,000 of personal funds for a vacation.
- Richmond Researchers pays cash expenses for office rent (\$400) and utilities (\$100).
- The business sells a quarter of its land parcel for \$6,000.
- The business declares and pays a cash dividend of \$1,200.

Requirements

- Analyze the preceding transactions in terms of their effects on the accounting equation of Richmond Researchers Ltd. Use Exhibit 2-1, Panel B as a guide.
- Prepare the Income Statement, Statement of Changes in Equity, and Balance Sheet of Richmond Researchers Ltd., after recording the transactions. Draw arrows linking the statements. Use Exhibit 2-2 as a guide.

Answers

Requirement 1

Panel B—Analysis of Transactions

A1								
	A	B	C	D	E	F	G	H
1		Assets			=	Liabilities + Equity		
2		Cash	Office Supplies	Land		Accounts Payable	Share Capital	Retained Earnings
3	a	25,000					25,000	
4	b		350			350		
5	c	(20,000)		20,000				
6	d	1,900						1,900
7	e	(100)				(100)		
8	f	Not a transaction of the business						
9	g	(400)						(400)
10		(100)						(100)
11	h	6,000		(5,000)				1,000
12	i	(1,200)						(1,200)
13	Bal	11,100	350	15,000		250	25,000	1,200
14	Totals		26,450				26,450	
15								

Requirement 2

A1				
	A	B	C	D
1	Richmond Researchers, Ltd			
2	Income Statement			
3	Month Ended May 31, 20X6			
4	Income			
5	Service revenue	\$ 1,900		
6	Gain on sale of land	1,000	\$ 2,900	
7	Expenses			
8	Rent expense	\$ 400		
9	Utilities expense	100	500	
10	Net income		\$ 2,400	

A1				
	A	B	C	D
1	Richmond Researchers, Ltd			
2	Statement of Changes in Equity			
3	Month Ended May 31, 20X6			
4	Total equity, July 1, 20X6		\$ 0	
5	Add: Issuance of share capital		25,000	
6	Add: Net income for the month		2,400	
7			27,400	
8	Less: Dividends		(1,200)	
9	Total equity, July 31, 20X6		\$ 26,200	

A1					
	A	B	C	D	E
1	Richmond Researchers, Ltd				
2	Balance Sheet				
3	July 31, 20X6				
4	Assets				
5	Cash	\$ 11,100	Liabilities		
6	Office supplies	350	Accounts payable	\$ 250	
7	Land	15,000	Shareholders' Equity		
8			Share capital	25,000	
9			Retained earnings	1,200	
10			Total shareholders' equity	26,200	
11			Total liabilities and		
12	Total assets	\$ 26,450	shareholders' equity	\$ 26,450	

The analysis in the first half of this chapter can be used, but it is cumbersome even in Excel. Daimler has hundreds of accounts and millions of transactions. If we were using a spreadsheet to account for Daimler's transactions, it would be a very huge spreadsheet! In the second half of this chapter we discuss double-entry accounting as it is actually used in business.

Double-Entry Accounting

All business transactions include at least two effects on an entity's financial statement elements. And at all times, the accounting equation (assets = liabilities + equity) must remain in balance. A simple way to help you start understanding this concept is to think about "giving" something and "receiving" something.

Accounting is, therefore, based on a double-entry system, which records the *dual effects* on the entity. *Each transaction affects at least two accounts.* For example, RedLotus Travel's receipt of \$50,000 cash and issuance of ordinary shares increased both Cash and Share Capital. It would be incomplete to record only the increase in Cash or only the increase in Share Capital.

The T-Account

Earlier we introduced you to the concept of an account. It is where we keep track of increases and decreases (and, thus, the balance) of items of interests to a business. The account can be represented by the letter T and we call them *T-accounts*. The vertical line in the letter divides the account into its two sides: left and right. The account title appears at the top of the T. For example, the Cash account can appear as follows:

Cash	
(Left side)	(Right side)
Debit	Credit

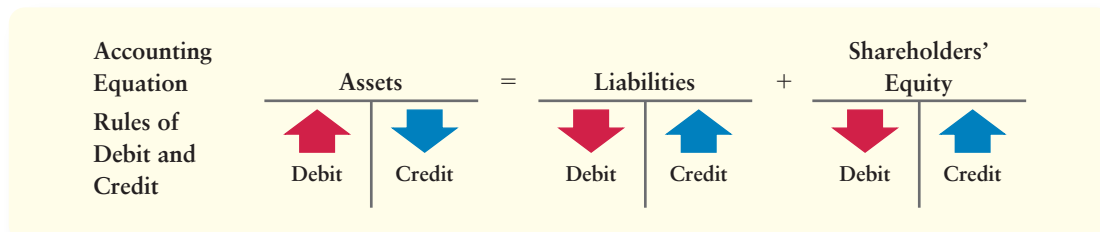
The left side of each account is called the **debit** side, and the right side is called the **credit** side. Often, students are confused by the words *debit* and *credit*. To become comfortable using these terms, remember that for every account, Debit is on the left, Credit is on the right.

Every business transaction involves both a debit and a credit. The total debits and credits for every business transaction must be equal. This is the cornerstone of the double-entry accounting system.

Increases and Decreases in the Accounts: The Rules of Debit and Credit

The type of account determines how we record increases and decreases. *The rules of debit and credit* follow in Exhibit 2-3.

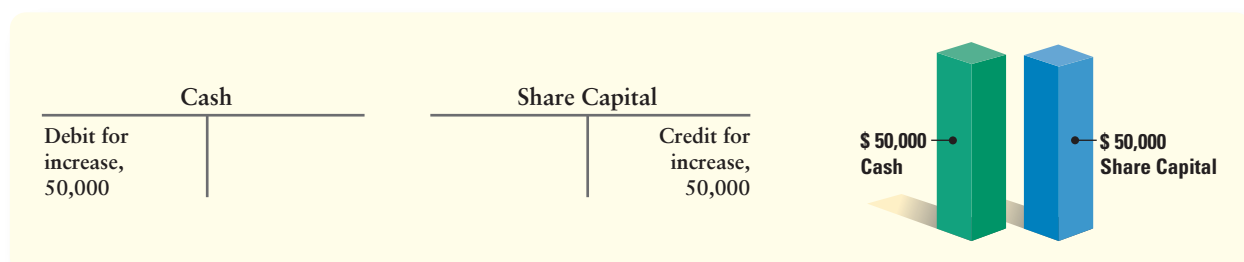
Exhibit 2-3 Accounting Equation and the Rules of Debit and Credit



- Increases in *assets* are recorded on the left (debit) side of the account. Decreases in *assets* are recorded on the right (credit) side. You receive cash and debit the Cash account. You pay cash and credit the Cash account.
- Conversely, increases in *liabilities* and *shareholders' equity* are recorded by credits. Decreases in *liabilities* and *shareholders' equity* are recorded by debits.

To illustrate the ideas displayed in Exhibit 2-3, let's review the first transaction. RedLotus Travel received \$50,000 and issued ordinary shares. Which accounts are affected? The Cash account and the Share Capital account will hold these amounts:

Exhibit 2-4 The Accounting Equation after RedLotus Travel's First Transaction



The amount remaining in an account, after netting the sum of the left-hand side with the sum of the right-hand side of the T account, is called its *balance*. This first transaction gives Cash a \$50,000 debit balance and Share Capital a \$50,000 credit balance. Exhibit 2-4 shows this relationship.

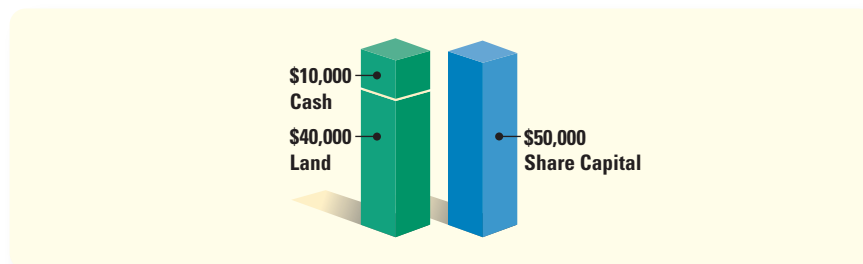
RedLotus Travel's second transaction is a \$40,000 cash purchase of land. This transaction decreases Cash with a credit and increases Land with a debit, as shown in the following T-accounts (focus on Cash and Land):

Cash			Share Capital	
Bal.	50,000	Credit for decrease, 40,000	Bal.	50,000
Bal.	10,000			

Land	
Debit for increase, 40,000	
Bal.	40,000

After this transaction, Cash has a \$10,000 debit balance, Land has a debit balance of \$40,000, and Share Capital has a \$50,000 credit balance, as shown in Exhibit 2-5.

Exhibit 2-5 | The Accounting Equation after RedLotus Travel's First Two Transactions



Additional Shareholders' Equity Accounts: Income and Expenses

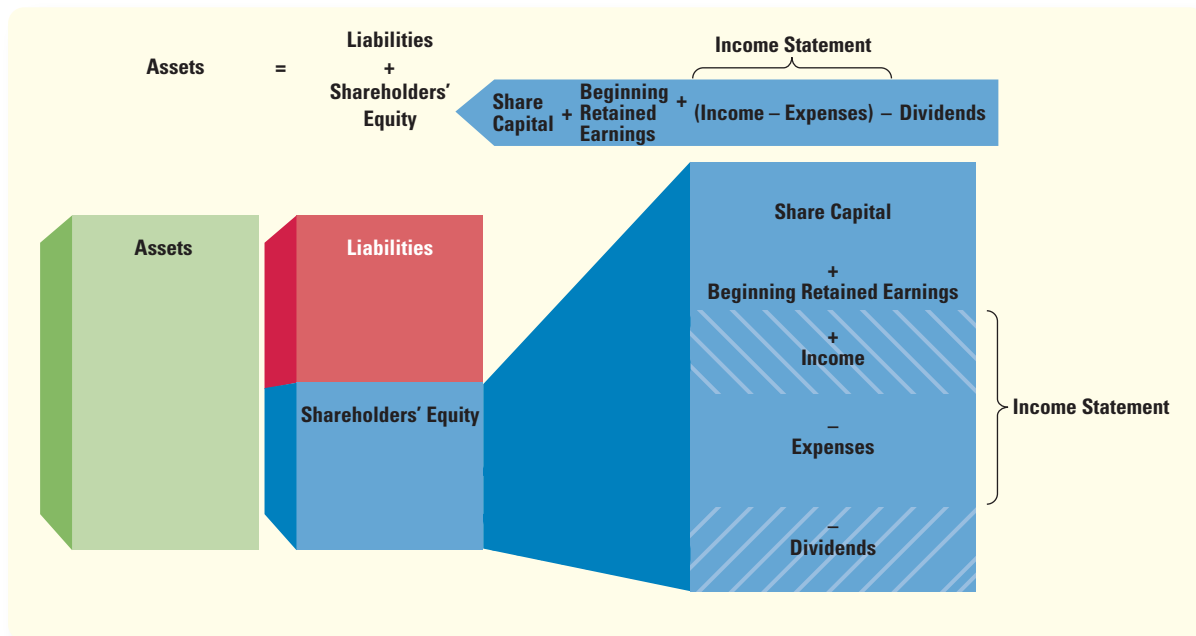
Shareholders' equity also includes the two categories of Income Statement accounts, Income and Expenses:

- *Income (revenue and gains)* includes increases in shareholders' equity that result from delivering goods or services to customers, or from other activities.
- *Expenses and losses* are decreases in shareholders' equity due to the cost of operating the business.

Therefore, the accounting equation may be expanded as shown in Exhibit 2-6. Revenues and expenses appear in parentheses because their net effect—revenues minus expenses—equals net income, which increases shareholders' equity. If expenses exceed revenues, there is a net loss, which decreases shareholders' equity.

We can now express the final form of the rules of debit and credit. *You should not proceed until you have learned these rules.* For example, you must remember the following:

- A debit increases an asset account.
- A credit decreases an asset.

Exhibit 2-6 Expansion of the Accounting Equation

Liabilities and shareholders' equity are the opposite.

- A credit increases a liability, as well as a shareholders' equity account.
- A debit decreases a liability, as well as a shareholders' equity account.

If you look at the components of equity in Exhibit 2-6, you will notice that Dividends and Expense accounts are “contra” accounts, i.e., the bigger they are, the smaller the total equity will be. Thus, increases in dividends and expenses are recorded as debits because they will ultimately reduce equity. Remember:

- A credit increases income, which will ultimately increase equity.
- A debit decreases income, which will ultimately reduce equity.
- A debit increases dividend and expense, which will ultimately reduce equity.
- A credit decreases dividend and expense, which will ultimately increase equity.

Exhibit 2-7 shows the final form of the debit and credit rules.

Exhibit 2-7 Final Form of the Rules of Debit and Credit

Assets		=	Liabilities		+	Shareholders' Equity					
Assets			Liabilities			Share Capital		Retained Earnings		Income	
											
Debit	Credit		Debit	Credit		Debit	Credit	Debit	Credit	Debit	Credit
								Dividends		Expenses	
											
								Debit	Credit	Debit	Credit

RECORD (JOURNALIZE AND POST) TRANSACTIONS IN THE BOOKS

4 Record (journalize and post) transactions in the books

Accountants use a chronological record of transactions called a **journal**, also known as the *book of original entry*. The journalizing process follows three steps:

1. Specify each account affected by the transaction and classify each account by type (asset, liability, shareholders' equity, income, or expense).
2. Determine whether each account is increased or decreased by the transaction. Use the rules of debit and credit to increase or decrease each account.
3. Record the transaction in the journal, including a brief explanation. The debit side is always listed first, entered in the left margin, and the credit side follows and is shown indented to the right.

Step 3 is also called “making the journal entry” or “journalizing the transaction.” Let’s apply the steps to journalize the first transaction of RedLotus Travel.

Step 1 The business receives cash and issues shares. Cash and Share Capital are affected. Cash is an asset, and Share Capital is equity.

Step 2 Both Cash and Share Capital increase. Debit Cash to record an increase in this asset. Credit Share Capital to record an increase in this equity account.

Step 3 Journalize the transaction as follows:

A1						
	A	B	C	D	E	F
		JOURNAL				
1	Date	Accounts and Explanation	Debit	Credit		
2	Apr 2	Cash	50,000			
3		Share Capital		50,000		
4		<i>Issued ordinary shares.</i>				
5						

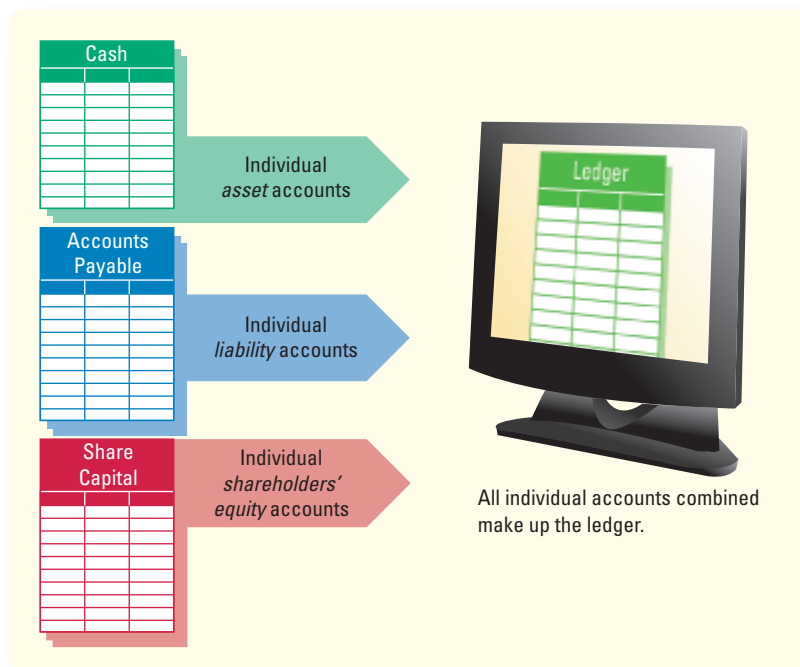
Typically, it is easiest to identify cash effects. When analyzing a transaction, first pinpoint the effects (if any) on cash. Did cash increase or decrease? If cash increased as a result of the transaction, that’s your Debit entry. If cash decreased, then it needs a Credit entry. Then identify the effects on the other accounts.

Copying Information (Posting) from the Journal to the Ledger

The journal is a chronological record of all company transactions listed by date. But the journal does not indicate how much cash or accounts receivable the business has.

The **ledger** is a grouping of all the T-accounts, with their balances. For example, the balance of the Cash T-account shows how much cash the business has. The balance of Accounts Receivable shows the amount due from customers. Accounts Payable shows how much the business owes suppliers on open account, and so on.

In the phrase “keeping the books,” *books* refers to the accounts in the ledger. In most accounting systems, the ledger is computerized. Exhibit 2-8 shows how the asset, liability, and shareholders’ equity accounts are grouped in the ledger.

Exhibit 2-8 | The Ledger (Asset, Liability, and Shareholders' Equity Accounts)

Entering a transaction in the journal does not get the data into the ledger. Data must be copied to the ledger—a process called **posting**. Debits in the journal are always posted as debits in the accounts, and likewise for credits. Exhibit 2-9 shows how ShineBrite Car Wash's share issuance transaction is posted to the accounts.

Exhibit 2-9 | Journal Entry and Posting to the Accounts**PANEL A—Journal Entry**

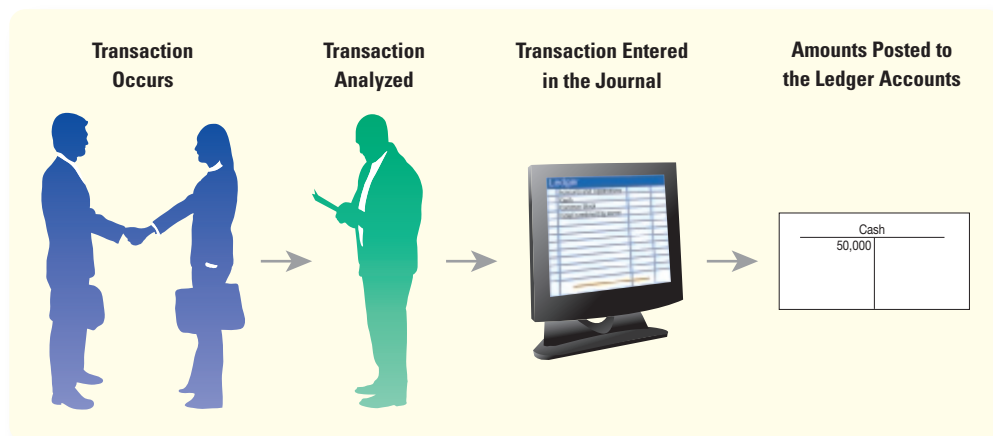
A1			
	A	B	C
1	Accounts and Explanation	Debit	Credit
2	Cash	50,000	
3	Share Capital		50,000
4	Issued ordinary shares.		
5			

PANEL B—Posting to the Accounts

Cash	Share Capital
50,000	50,000

The Flow of Accounting Data

Exhibit 2-10 summarizes the flow of accounting data from the business transaction to the ledger.

Exhibit 2-10 Flow of Accounting Data

Let's continue the example of RedLotus Travel, Inc., and account for the same 11 transactions we illustrated earlier. Here we use the journal and the accounts. Each journal entry posted to the accounts is referenced by date or by transaction number. This cross-reference is important so you can trace back the entry you see in the accounts, and it allows you to locate any information you may need.

Transaction 1 Analysis. RedLotus Travel, Inc., received \$50,000 cash from the shareholders and in turn issued ordinary shares to them. The journal entry, accounting equation, and ledger accounts follow.

A1					
	A	B	C	D	E
1	Cash	50,000			
2	Share capital		50,000		
3	Issued ordinary shares.				
4					

	Assets	=	Liabilities	+	Shareholders' Equity
Accounting equation	+50,000	=	0	+	50,000

	Cash		Share Capital	
The ledger accounts	(1)	50,000	(1)	50,000

Transaction 2 Analysis. The business paid \$40,000 cash for land. The purchase decreased Cash; therefore, credit Cash. The purchase increased the asset Land; to record this increase, debit Land.

A1					
	A	B	C	D	E
1	Land	40,000			
2	Cash		40,000		
3	Paid cash for land.				
4					

	Assets	=	Liabilities	+	Shareholders' Equity
<i>Accounting equation</i>	+ 40,000 - 40,000	=	0	+	0

	Cash			Land	
<i>The ledger accounts</i>	(1) 50,000	(2) 40,000	(2) 40,000		

Transaction 3 Analysis. The business purchased supplies for \$3,700 on accounts payable. The purchase increased Supplies, an asset, and Accounts Payable, a liability.

A1					
	A	B	C	D	E
1	Supplies	3,700			
2	Accounts Payable		3,700		
3	Purchased office supplies on account.				
4					

	Assets	=	Liabilities	+	Shareholders' Equity
<i>Accounting equation</i>	+ 3,700	=	+ 3,700	+	0

	Supplies			Accounts Payable	
<i>The ledger accounts</i>	(3) 3,700			(3) 3,700	

Transaction 4 Analysis. The business performed services for clients and received cash of \$7,000. The transaction increased Cash and Service Revenue. To record the revenue, credit Service Revenue. Remember that all revenue accounts eventually increase total shareholders' equity.

A1					
	A	B	C	D	E
1	Cash	7,000			
2	Service Revenue		7,000		
3	Performed services for cash.				
4					

	Assets	=	Liabilities	+	Shareholders' Equity
<i>Accounting equation</i>	+ 7,000	=	0	+	7,000 (Service revenue)

	Cash			Service Revenue	
<i>The ledger accounts</i>	(1) 50,000 (4) 7,000	(2) 40,000		(4) 7,000	

Transaction 5 Analysis. RedLotus Travel performed services for UPS on account. UPS did not pay immediately, so RedLotus Travel billed UPS for \$3,000. The transaction increased accounts receivable; therefore, debit Accounts Receivable. Service revenue also increased, so credit the Service Revenue account.

A1					
	A	B	C	D	E
1	Accounts Receivable	3,000			
2	Service Revenue		3,000		
3	Performed services on account.				
4					

	Assets	=	Liabilities	+	Shareholders' Equity
Accounting equation	+ 3,000	=	0	+	3,000 (Service revenues)

	Accounts Receivable		Service Revenue	
The ledger accounts	(5)	3,000	(4)	7,000
			(5)	3,000

Transaction 6 Analysis. The business paid \$2,700 for the following expenses: equipment rent, \$1,100; employee salary, \$1,200; and utilities, \$400. Credit Cash for the sum of the expense amounts. The expenses increased, so debit each expense account separately.

A1					
	A	B	C	D	E
1	Rent Expense	1,100			
2	Salary Expense	1,200			
3	Utilities Expense	400			
4	Cash		2,700		
5	Paid expenses.				
6					

	Assets	=	Liabilities	+	Shareholders' Equity
Accounting equation	− 2,700	=	0	−	2,700 (Various expenses)

	Cash		Rent Expense	
The ledger accounts	(1)	50,000	(2)	40,000
	(4)	7,000	(6)	1,100
			(6)	2,700

	Salary Expense		Utilities Expense	
	(6)	1,200	(6)	400

Transaction 7 Analysis. The business paid \$1,900 on the account payable created in Transaction 3. Credit Cash for the payment. The payment decreased a liability, so debit Accounts Payable.

A1					
	A	B	C	D	E
1	Accounts Payable	1,900			
2	Cash		1,900		
3	Paid cash on account.				
4					

	Assets	=	Liabilities	+	Shareholders' Equity
Accounting equation	− 1,900	=	− 1,900	+	0

	Cash		Accounts Payable	
The ledger accounts	(1)	50,000	(2)	40,000
	(4)	7,000	(6)	2,700
			(7)	1,900
			(7)	1,900

Transaction 8 Analysis. Starr Williams, the major shareholder of RedLotus Travel, remodeled his personal residence. This is not a transaction of the business, so the business does not record the transaction.

Transaction 9 Analysis. The business collected \$1,000 cash on account from the clients in Transaction 5. Cash increased so debit Cash. The asset accounts receivable decreased; therefore, credit Accounts Receivable.

A1					
	A	B	C	D	E
1	Cash	1,000			
2	Accounts Receivable		1,000		
3	Collected cash on account.				
4					

	Assets	=	Liabilities	+	Shareholders' Equity
Accounting equation	+ 1,000	=	0	+	0
	- 1,000				

	Cash		Accounts Receivable	
The ledger accounts	(1)	50,000	(2)	40,000
	(4)	7,000	(5)	3,000
	(9)	1,000	(9)	1,000
			(7)	1,900

Transaction 10 Analysis. The business sold half of its land for \$22,000, receiving cash. The asset Cash increased; debit Cash by the amount received. The asset Land decreased; credit Land by \$20,000 (half of \$40,000) and a gain of \$2,000 is recognized. Note that the total debits always equal total credits, even when you have more than one debit or more than one credit entry for the journal.

A1					
	A	B	C	D	E
1	Cash	22,000			
2	Land		20,000		
3	Gain on sale of land		2,000		
4	Sold land costing \$20,000 for \$22,000.				

	Assets	=	Liabilities	+	Shareholders' Equity
Accounting equation	+ 22,000	=	0	+	2,000 (gain on sale)
	- 20,000				

	Cash		Land		Gain on sale of land	
The ledger accounts	(1)	50,000	(2)	40,000	(2)	40,000
	(4)	7,000	(6)	2,700	(10)	22,000
	(9)	1,000	(7)	1,900		
	(10)	22,000			(10)	2,000

Transaction 11 Analysis. RedLotus Travel paid its shareholders cash dividends of \$2,100. Credit Cash for the payment. The transaction also decreased shareholders' equity and requires a debit to an equity account. Therefore, debit Dividends.

A1					
	A	B	C	D	E
1	Dividends	2,100			
2	Cash		2,100		
3	Declared and paid dividends.				
4					

	Assets	=	Liabilities	+	Shareholders' Equity
Accounting equation	- 2,100	=	0	-	2,100 (Dividends)

	Cash		Dividends	
The ledger accounts	(1) 50,000	(2) 40,000	(11) 2,100	
	(4) 7,000	(6) 2,700		
	(9) 1,000	(7) 1,900		
	(10) 22,000	(11) 2,100		

Accounts after Posting to the Ledger

Exhibit 2-11 shows the accounts after all transactions have been posted to the ledger. Group the accounts under assets, liabilities, and equity.

Exhibit 2-11 | RedLotus Travel's Ledger Accounts after Posting

Assets				=	Liabilities				+	Shareholders' Equity					
Cash					Accounts Payable					Share Capital				Dividends	
(1)	50,000	(2)	40,000		(7)	1,900	(3)	3,700			(1)	50,000	(11)	2,100	
(4)	7,000	(6)	2,700				Bal.	1,800			Bal.	50,000	Bal.	2,100	
(9)	1,000	(7)	1,900												
(10)	22,000	(11)	2,100												
Bal.	33,300														
Accounts Receivable										Income				Expenses	
(5)	3,000	(9)	1,000							Service Revenue				Rent Expense	
Bal.	2,000										(4)	7,000	(6)	1,100	
											(5)	3,000	Bal.	1,100	
											Bal.	10,000			
Supplies										Gain on sale of land				Salary Expense	
(3)	3,700										(10)	2,000	(6)	1,200	
Bal.	3,700										Bal.	2,000	Bal.	1,200	
Land														Utilities Expense	
(2)	40,000	(10)	20,000										(6)	400	
Bal.	20,000												Bal.	400	

Each account has a balance, denoted by “Bal.,” which is the difference between the account’s total debits and its total credits. For example, the Accounts Payable’s balance of \$1,800 is the difference between the credit (\$3,700) and the debit (\$1,900). Cash has a debit balance of \$33,300.

A horizontal line separates the transaction amounts from the account balance. If an account’s debits exceed its total credits, that account has a debit balance, as for Cash. If the sum of the credits is greater, the account has a credit balance, as for Accounts Payable.

CONSTRUCT AND USE A TRIAL BALANCE

A **trial balance** lists all accounts with their balances—assets first, then liabilities and shareholders’ equity. The trial balance summarizes all the account balances for the financial statements and *shows whether total debits equal total credits*. A trial balance may be constructed at any time, but the most common time is at the end of the period. Exhibit 2-12 is the trial balance of RedLotus Travel, Inc., after all transactions have been journalized and posted at the end of April.

5 Construct and use a trial balance

Exhibit 2-12 Trial Balance

A1					
A		B	C	D	E
1	RedLotus Travel, Inc.				
2	Trial Balance				
3	April 30, 20X8				
4		Balance			
5	Account Title	Debit	Credit		
6	Cash	\$ 33,300			
7	Accounts receivable	2,000			
8	Supplies	3,700			
9	Land	20,000			
10	Accounts payable		\$ 1,800		
11	Share capital		50,000		
12	Dividends	2,100			
13	Service revenue		10,000		
14	Gain on sale of land		2,000		
15	Rent expense	1,100			
16	Salary expense	1,200			
17	Utilities expense	400			
18	Total	\$ 63,800	\$ 63,800		

Note that the last line of the trial balance provides proof of the equality of debits and credits we have entered into the accounting records.

Analyzing Accounts

You can often tell what a company did by analyzing its accounts. This is a powerful tool for a manager who knows accounting. For example, if you know the beginning and ending balances of Cash, and if you know total cash receipts, you can compute your total cash payments during the period.

In our chapter example, RedLotus Travel will start the month of May with a cash balance of \$33,000. Suppose during May RedLotus Travel received cash of \$8,000 and ended the

month with a cash balance of \$35,000. You can compute total cash payments by analyzing RedLotus Travel's Cash account as follows:

Cash			
Beginning balance	33,000		
Cash receipts	8,000	Cash payments	$x = 6,000$
Ending balance	35,000		

Or, if you know the Cash account's beginning and ending balances and total payments, you can compute cash receipts during the period—for any company!

Similarly, you can compute either sales on account or cash collections from receivables by analyzing the Accounts Receivable account as follows (using assumed amounts):

Accounts Receivable			
Beginning balance	6,000		
Sales on account	10,000	Collections from receivables	$x = 11,000$
Ending balance	5,000		

Also, you can determine how much you paid on account by analyzing Accounts Payable as follows (using assumed amounts):

Accounts Payable			
		Beginning balance	9,000
Payments on creditors	$x = 4,000$	Purchases on account	6,000
		Ending balance	11,000

Please master this powerful technique. It works for any company and for your own personal finances! You will find this tool very helpful when you become a manager.

Correcting Accounting Errors

Accounting errors can occur even in computerized systems. Input data may be wrong, or they may be entered twice or not at all. A debit may be entered as a credit, and vice versa. You can detect the reason or reasons behind many out-of-balance conditions by computing the difference between total debits and total credits. Then perform one or more of the following actions:

1. Search the records for a missing account. Trace each account back and forth from the journal to the ledger. A \$200 transaction may have been recorded incorrectly in the journal or posted incorrectly to the ledger. Search the journal for a \$200 transaction.
2. Divide the out-of-balance amount by 2. A debit treated as a credit, or vice versa, doubles the amount of the error. Suppose RedLotus, Inc., added \$300 to Cash instead of subtracting \$300. The out-of-balance amount is \$600, and dividing by 2 identifies \$300 as the amount of the transaction. Search the journal for the \$300 transaction and trace to the account affected.
3. Divide the out-of-balance amount by 9. If the result is an integer (no decimals), the error may be
 - **a slide** (e.g., writing \$400 as \$40). The accounts would be out of balance by \$360 ($\$400 - \$40 = \360). Dividing \$360 by 9 yields \$40. Scan the trial balance in

Exhibit 2-12 for an amount similar to \$40. Utilities Expense (balance of \$400) is the misstated account.

- **a transposition** (e.g., writing \$2,100 as \$1,200). The accounts would be out of balance by \$900 ($\$2,100 - \$1,200 = \900). Dividing \$900 by 9 yields \$100. Trace all amounts on the trial balance back to the T-accounts. Dividends (balance of \$2,100) is the misstated account.

Chart of Accounts

As you know, the ledger contains the accounts grouped under these headings:

1. Balance Sheet accounts: Assets, Liabilities, and Shareholders' Equity
2. Income Statement accounts: Income and Expenses

Organizations use a **chart of accounts** to list all their accounts and account numbers. Account numbers usually have two or more digits. Asset account numbers may begin with 1, liabilities with 2, shareholders' equity with 3, revenues with 4, and expenses with 5. The second, third, and higher digits in an account number indicate the position of the individual account within the category. For example, Cash may be account number 101, which is the first asset account. Accounts Payable may be number 201, the first liability. All accounts are numbered by using this system.

Organizations with many accounts use lengthy account numbers. For example, the chart of accounts of Daimler may use 10-digit account numbers. The chart of accounts for RedLotus Travel appears in Exhibit 2-13. The gap between account numbers 111 and 141 leaves room to add another category of receivables, for example, Notes Receivable, which may be numbered 121. A good chart of accounts has structure and proper categorization of accounts, and there's always room for creation of additional accounts when the need arises.

Exhibit 2-13 | Chart of Accounts: RedLotus Travel, Inc.

Balance Sheet Accounts					
Assets		Liabilities		Shareholders' Equity	
101	Cash	201	Accounts Payable	301	Share Capital
111	Accounts Receivable	231	Notes Payable	311	Dividends
141	Office Supplies			312	Retained Earnings
151	Office Furniture				
191	Land				

Income Statement Accounts (Part of Shareholders' Equity)			
Income		Expenses	
401	Service Revenue	501	Rent Expense
402	Gain on Sale of Land	502	Salary Expense
		503	Utilities Expense

Appendix C gives two expanded charts of accounts that you will find helpful as you work through this course. The first chart lists the typical accounts that a *service* corporation, such as RedLotus Travel, would have after a period of growth. The second chart is for a *merchandizing* corporation, one that sells a product instead of a service.

The Normal Balance of an Account

An account's *normal balance* falls on the side of the account—debit or credit—where increases are recorded. The normal balance of assets is on the debit side, so assets are *debit-balance accounts*. Conversely, liabilities and shareholders' equity usually have a credit balance, so these are *credit-balance accounts*. Exhibit 2-14 illustrates the normal balances of all the assets, liabilities, and shareholders' equities, including revenues and expenses.

Exhibit 2-14 Normal Balances of the Accounts

Assets	Debit	
Liabilities		Credit
Shareholders' Equity—overall		Credit
Share capital		Credit
Retained earnings		Credit
Dividends	Debit	
Income (revenue and gains)		Credit
Expenses (including losses)	Debit	

As explained earlier, shareholders' equity usually contains several accounts. Dividends and expenses carry debit balances because they represent decreases in shareholders' equity. In total, the equity accounts show a normal credit balance.

Account Formats

So far we have illustrated accounts in a two-column T-account format, with the debit column on the left and the credit column on the right. Another style of representing accounts is called the columnar format. It has three or four *amount* columns, as illustrated for the Cash account in Exhibit 2-15. The first pair of amount columns are for the debit and credit amounts of individual transactions. The last two columns are for the account balance (they may be combined into one column). This columnar format keeps a running balance for every account. In computerized accounting systems, you will see accounts printed in columnar formats rather than T-accounts.

Exhibit 2-15 Account in Four-Column Format

Account: Cash				Account No. 101	
Date	Item	Debit	Credit	Balance	
				Debit	Credit
20X8					
Apr 2	Share Capital	50,000		50,000	
3	Land		40,000	10,000	

Analyzing Transactions Using Only T-Accounts

Businesspeople must often make decisions without the benefit of a complete accounting system. For example, the managers of Daimler may consider borrowing \$100,000 to buy equipment. To see how the two transactions [(a) borrowing cash and (b) buying equipment] affect Daimler, the manager can go directly to T-accounts, as follows:

T-accounts:	<table><tr><th colspan="2">Cash</th></tr><tr><td>(a) 100,000</td><td></td></tr></table>	Cash		(a) 100,000		<table><tr><th colspan="2">Note Payable</th></tr><tr><td></td><td>(a) 100,000</td></tr></table>	Note Payable			(a) 100,000					
Cash															
(a) 100,000															
Note Payable															
	(a) 100,000														
T-accounts:	<table><tr><th colspan="2">Cash</th></tr><tr><td>(a) 100,000</td><td>(b) 100,000</td></tr></table>	Cash		(a) 100,000	(b) 100,000	<table><tr><th colspan="2">Equipment</th></tr><tr><td>(b) 100,000</td><td></td></tr></table>	Equipment		(b) 100,000		<table><tr><th colspan="2">Note Payable</th></tr><tr><td></td><td>(a) 100,000</td></tr></table>	Note Payable			(a) 100,000
Cash															
(a) 100,000	(b) 100,000														
Equipment															
(b) 100,000															
Note Payable															
	(a) 100,000														

This informal analysis shows immediately that Daimler will add \$100,000 of equipment and a \$100,000 note payable. Assuming that Daimler began with zero balances, the equipment and note payable transactions would result in the following Balance Sheet (date assumed for illustration only):

A1				
	A	B	C	D
1	Daimler's Balance Sheet September 12, 2019			
2	Assets		Liabilities	
3	Cash	\$ 0	Note payable	\$ 100,000
4	Equipment	100,000		
5			Shareholders' Equity	0
6			Total liabilities and	
7	Total assets	\$ 100,000	shareholders' equity	\$ 100,000
8				

Companies don't actually keep records in this shortcut fashion. But a decision maker who needs information quickly may not have time to journalize, post to the accounts, take a trial balance, and prepare the financial statements. A manager who knows accounting can analyze the transaction and make the decision quickly. Now apply what you've learned. Study the Decision Guidelines, which summarize the chapter.



DECISION GUIDELINES

HOW TO MEASURE RESULTS OF OPERATIONS AND FINANCIAL POSITION

Any entrepreneur must determine whether the venture is profitable. To do this, he or she needs to know its results of operations and financial position. If Daimler wants to know whether the business is making money, the guidelines that follow will help them.

Decision

Has a transaction occurred?

Where to record the transaction?

How to record an increase or decrease in the following accounts?

Where to store all the information for each account?

Where to list all the accounts and their balances?

Where to report the:
Results of operations?

Financial position?

Guidelines

If the event affects the entity's financial position and can be reliably recorded—Yes.

If either condition is absent—No.

In the *journal*, the chronological record of transactions

Rules of *debit* and *credit*:

	Increase	Decrease
Assets	Debit	Credit
Liabilities	Credit	Debit
Shareholders' equity	Credit	Debit
Income	Credit	Debit
Expenses	Debit	Credit
Dividends	Debit	Credit

In the *ledger*, the book of accounts

In the *trial balance*

In the *Income Statement*

(Revenues – Expenses = Net income or net loss)

In the *Balance Sheet*

(Assets = Liabilities + Shareholders' equity)

End-of-Chapter

Summary Problem

The trial balance of Calderon Service Center, Inc., on March 1, 20X6, lists the entity's assets, liabilities, and shareholders' equity on that date.

Account Title	Balance	
	Debit	Credit
Cash.....	\$ 26,000	
Accounts receivable.....	4,500	
Accounts payable		\$ 2,000
Share capital.....		10,000
Retained earnings.....		18,500
Total	<u>\$ 30,500</u>	<u>\$ 30,500</u>

During March, the business completed the following transactions:

- Borrowed \$45,000 from the bank, with Calderon signing a note payable in the name of the business.
- Paid cash of \$40,000 to a real estate company to acquire land.
- Performed service for a customer and received cash of \$5,000.
- Purchased supplies on credit, \$300.
- Performed customer service and earned revenue on account, \$2,600.
- Paid \$1,200 on account.
- Paid the following cash expenses: salaries, \$3,000; rent, \$1,500; and interest, \$400.
- Received \$3,100 on account.
- Received a \$200 utility bill that will be paid next week.
- Declared and paid dividends of \$1,800.

Requirements

- Make the following accounts, with the balances indicated, in the ledger of Calderon Service Center, Inc. Use the T-account format.
 - Assets—Cash, \$26,000; Accounts Receivable, \$4,500; Supplies, no balance; Land, no balance
 - Liabilities—Accounts Payable, \$2,000; Note Payable, no balance
 - Shareholders' Equity—Share Capital, \$10,000; Retained Earnings, \$18,500; Dividends, no balance
 - Revenues—Service Revenue, no balance
 - Expenses—(none have balances) Salary Expense, Rent Expense, Interest Expense, Utilities Expense
- Journalize the preceding transactions. Key journal entries by transaction letter.
- Post to the ledger and show the balance in each account after all the transactions have been posted.

4. Prepare the trial balance of Calderon Service Center, Inc., at March 31, 20X6.
5. To determine the net income or net loss of the entity during the month of March, prepare the Income Statement for the month ended March 31, 20X6. List expenses in order from the largest to the smallest.

Answers

Requirement 1

Assets		=	Liabilities		+	Shareholders' Equity	
Cash			Accounts Payable			Share Capital	Expenses
Bal.	26,000			Bal.	2,000	Bal.	10,000
Accounts Receivable			Note Payable			Retained Earnings	
Bal.	4,500					Bal.	18,500
Supplies						Dividends	
Land						Revenue	
						Service Revenue	
						Salary Expense	
						Rent Expense	
						Interest Expense	
						Utilities Expense	

Requirement 2

Accounts and Explanation	Debit	Credit	Accounts and Explanation	Debit	Credit
a. Cash.....	45,000		g. Salary Expense	3,000	
Note Payable		45,000	Rent Expense	1,500	
Borrowed cash on note payable.			Interest Expense	400	
b. Land.....	40,000		Cash		4,900
Cash		40,000	Paid cash expenses.		
Purchased land for cash.			h. Cash.....	3,100	
c. Cash.....	5,000		Accounts Receivable		3,100
Service Revenue		5,000	Received on account.		
Performed service and received cash.			i. Utilities Expense	200	
d. Supplies.....	300		Accounts Payable.....		200
Accounts Payable.....		300	Received utility bill.		
Purchased supplies on account.			j. Dividends	1,800	
e. Accounts Receivable.....	2,600		Cash		1,800
Service Revenue		2,600	Declared and paid dividends.		
Performed service on account.					
f. Accounts Payable	1,200				
Cash		1,200			
Paid on account.					

Requirement 3

Assets		=	Liabilities		+	Shareholders' Equity	
Cash			Accounts Payable			Share Capital	Expenses
Bal. 26,000	(b) 40,000		(f) 1,200	Bal. 2,000		Bal. 10,000	Salary Expense
(a) 45,000	(f) 1,200			(d) 300			(g) 3,000
(c) 5,000	(g) 4,900			(i) 200	Retained Earnings	Bal. 3,000	
(h) 3,100	(j) 1,800			Bal. 1,300			
Bal. 31,200						Bal. 18,500	
Accounts Receivable			Note Payable			Dividends	Rent Expense
Bal. 4,500	(h) 3,100			(a) 45,000		(j) 1,800	(g) 1,500
(e) 2,600				Bal. 45,000		Bal. 1,800	Bal. 1,500
Bal. 4,000							
Supplies						Revenue	Interest Expense
(d) 300						Service Revenue	(g) 400
Bal. 300							Bal. 400
Land							Utilities Expense
(b) 40,000							(i) 200
Bal. 40,000							Bal. 200

Requirement 4

A1					
A					
Calderon Service Center, Inc. Trial Balance March 31, 20X6					
Balance					
Account Title	Debit	Credit			
Cash	\$ 31,200				
Accounts receivable	4,000				
Supplies	300				
Land	40,000				
Accounts payable		\$ 1,300			
Notes payable		45,000			
Share capital		10,000			
Retained earnings		18,500			
Dividends	1,800				
Service revenue		7,600			
Salary expense	3,000				
Rent expense	1,500				
Interest expense	400				
Utilities expense	200				
Total	\$ 82,400	\$ 82,400			

Requirement 5

A1					
	A	B	C	D	E
1	Calderon Service Center, Inc.				
	Income Statement				
	Month Ended March 31, 20X6				
2	Revenues				
3	Service revenue		\$ 7,600		
4					
5	Expenses				
6	Salary expense	\$ 3,000			
7	Rent expense	1,500			
8	Interest expense	400			
9	Utilities expense	200			
10	Total expenses		5,100		
11	Net income		\$ 2,500		
12					

REVIEW | Recording Business Transactions

Quick Check (Answers are given at the end of the chapter.)

- A debit entry to an account
 - increases shareholders' equity.
 - increases liabilities.
 - increases assets.
 - both a and c.
- Which account types normally have a debit balance?
 - Revenues
 - Expenses
 - Liabilities
 - Both a and b
- An attorney performs services of \$800 for a client and receives \$200 cash with the remainder on account. The journal entry for this transaction would
 - debit Cash, credit Service Revenue.
 - debit Cash, debit Accounts Receivable, credit Service Revenue.
 - debit Cash, debit Service Revenue, credit Accounts Receivable.
 - debit Cash, credit Accounts Receivable, credit Service Revenue.
- Accounts Payable had a normal beginning balance of \$1,700. During the period, there were debit postings of \$200 and credit postings of \$700. What was the ending balance?
 - \$2,200 credit
 - \$2,200 debit
 - \$1,000 debit
 - \$1,000 credit
- The list of all accounts with their balances is the
 - Balance Sheet.
 - chart of accounts.
 - trial balance.
 - journal.
- The basic summary device of business transactions is the
 - journal.
 - ledger.
 - trial balance.
 - account.
- The beginning Cash balance was \$8,000. At the end of the period, the balance was \$12,000. If total cash paid out during the period was \$24,000, the amount of cash receipts was
 - \$32,000.
 - \$28,000.
 - \$44,000.
 - \$36,000.
- In a double-entry accounting system
 - a debit entry is recorded on the left side of a T-account.
 - liabilities, owners' equity, and revenue accounts all have normal debit balances.
 - half of all the accounts have a credit balance, and the other half have a debit balance.
 - both a and c are correct.

9. Which accounts appear on which financial statement?
- | <i>Balance Sheet</i> | <i>Income Statement</i> |
|--------------------------------|-----------------------------|
| a. Cash, receivables, payables | Revenues, expenses |
| b. Receivables, land, payables | Revenues, supplies |
| c. Cash, revenues, land | Expenses, payables |
| d. Expenses, payables, cash | Revenues, receivables, land |
10. A doctor purchases medical supplies of \$740 and pays \$320 cash with the remainder on account. The journal entry for this transaction would be which of the following?
- | | |
|---|--|
| a. Debit Supplies
Credit Accounts Payable
Credit Cash | c. Debit Supplies
Credit Accounts Receivable
Credit Cash |
| b. Debit Supplies
Debit Accounts Payable
Credit Cash | d. Debit Supplies
Debit Cash
Credit Accounts Payable |
11. Which is the correct sequence for recording transactions and preparing financial statements?
- Journal, ledger, trial balance, financial statements
 - Ledger, journal, trial balance, financial statements
 - Ledger, trial balance, journal, financial statements
 - Financial statements, trial balance, ledger, journal
12. The error of posting \$300 as \$30 can be detected by
- dividing the out-of-balance amount by 2.
 - dividing the out-of-balance amount by 9.
 - examining the chart of accounts.
 - totaling each account's balance in the ledger.

Accounting Vocabulary

account (p. 60) The record of the changes that have occurred in a particular asset, liability, or shareholders' equity during a period. The basic summary device of accounting.

accrued liability (p. 62) A liability for an expense that has not yet been paid by the company.

chart of accounts (p. 85) List of a company's accounts and their account numbers.

credit (p. 73) The right side of an account.

debit (p. 73) The left side of an account.

journal (p. 76) The chronological accounting record of an entity's transactions.

ledger (p. 76) The book of accounts and their balances.

posting (p. 77) Copying amounts from the journal to the respective ledger accounts.

prepaid expenses (p. 61). Paying expenses in advance before actual consumption. Also called prepayments.

property, plant and equipment, PPE (p. 61) Assets that are expected to be used for more than one period for the purposes of production or supply of goods or services or for administrative purposes.

transaction (p. 60) Any event that has a financial impact on the business and can be measured reliably.

trial balance (p. 83) A list of all the ledger accounts with their balances.

ASSESS YOUR PROGRESS

Short Exercises

S2-1. (Learning Objective 1: Explaining an asset versus an expense) Brian Norton opened a software consulting firm that immediately bought and paid \$2,000 for a computer. Was Norton's computer an expense of the business? If not, explain.

L0 1

S2-2. (Learning Objective 1, 2: Analyzing the effects of transactions) Young Software began with cash of \$12,500. Young then bought supplies for \$1,500 on account. Separately, Young paid \$3,000 for a computer. Answer these questions.

L0 1 2

- How much in total assets does Young have?
- How much in liabilities does Young owe?

L0 1 2

S2-3. (Learning Objectives 1, 2: Analyzing transactions; understanding how accounting works) Hannah Lyle, a medical doctor, opened a medical practice. The business completed the following transactions:

Aug 1	Lyle invested \$20,000 cash to start her medical practice. The business issued ordinary shares to Lyle.
1	Purchased medical supplies on account totaling \$8,100.
2	Paid monthly office rent of \$2,500.
3	Recorded \$15,000 revenue for service rendered to patients, received cash of \$4,000, and sent bills to patients for the remainder.

After these transactions, how much cash does the business have to work with? Use a T-account to show your answer.

L0 1

S2-4. (Learning Objective 1: Analyzing transactions) Refer to Short Exercise 2-3. Which of the transactions of Hannah Lyle increased the total assets of the business? For each transaction, identify the asset that was increased.

L0 1

S2-5. (Learning Objective 1: Analyzing transactions) Capri Design specializes in imported clothing. During May, Capri completed a series of transactions. For each of the following items, give an example of a transaction that has the described effect on the accounting equation of Capri Design.

- Increase one asset and decrease another asset.
- Decrease an asset and decrease owners' equity.
- Decrease an asset and decrease a liability.
- Increase an asset and increase owners' equity.
- Increase an asset and increase a liability.

L0 2 3

S2-6. (Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions) After operating for several months, architect Gwen Markum completed the following transactions during the latter part of July:

Jul 15	Borrowed \$35,000 from the bank, signing a note payable.
22	Performed service for clients on account totaling \$9,200.
28	Received \$6,300 cash on account from clients.
29	Received a utility bill of \$500, an account payable that will be paid during August.
31	Paid monthly salary of \$3,200 to employee.

Journalize the transactions of Gwen Markum. Include an explanation with each journal entry.

L0 2 3

S2-7. (Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions; posting) David Delorme purchased supplies on account for \$3,000. Later Delorme paid \$550 on account.

- Journalize the two transactions on the books of David Delorme. Include an explanation for each transaction.
- Open a T-account for Accounts Payable and post to Accounts Payable. Compute the balance and denote it as Bal.
- How much does the Delorme business owe after both transactions? In which account does this amount appear?

L0 2 3

S2-8. (Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions; posting) Orman performed services for a client who could not pay immediately. Orman expected to collect the \$5,200 the following month. A month later, Orman received \$2,400 cash from the client.

- Record the two transactions on the books of Orman. Include an explanation for each transaction.
- Post to these T-accounts: Cash, Accounts Receivable, and Service Revenue. Compute each account balance and denote it as Bal.

S2-9. (Learning Objective 5: Preparing and using a trial balance) Assume that Old Boardwalk reported the following summarized data at December 31, 20X6. Accounts appear in no particular order; dollar amounts are in millions.

L0 5

Other liabilities	\$ 4	Revenues	\$ 33
Cash	7	Other assets	14
Expenses	20	Accounts payable	2
Shareholders' equity	2		

Prepare the trial balance of Old Boardwalk at December 31, 20X6. List the accounts in their proper order. How much was Old Boardwalk's net income or net loss?

S2-10. (Learning Objective 5: Using a trial balance) Redberry's trial balance follows:

L0 5

A1					
	A	B	C	D	E
1	Redberry, Inc. Trial Balance December 31, 20X6				
2		Balance			
3	Account Title	Debit	Credit		
4	Cash	\$ 5,000			
5	Accounts receivable	12,000			
6	Supplies	2,000			
7	Equipment	26,000			
8	Land	50,000			
9	Accounts payable		\$ 20,000		
10	Note payable		31,000		
11	Share capital		8,000		
12	Retained earnings		7,000		
13	Service revenue		62,500		
14	Salary expense	27,000			
15	Rent expense	4,500			
16	Utilities expense	2,000			
17	Total	\$ 128,500	\$ 128,500		
18					

Compute these amounts for the business:

1. Total assets
2. Total liabilities
3. Net income or net loss during December

S2-11. (Learning Objective 5: Using a trial balance) Refer to Redberry's trial balance in Short Exercise 2-10. The purpose of this exercise is to help you learn how to correct three common accounting errors.

L0 5

Error 1. Slide. Suppose the trial balance lists Land as \$5,000 instead of \$50,000. Recompute column totals, take the difference, and divide by 9. The result is an integer (no decimals), which suggests that the error is either a transposition or a slide.

Error 2. Transposition. Assume the trial balance lists Accounts Receivable as \$21,000 instead of \$12,000. Recompute column totals, take the difference, and divide by 9. The result is an integer (no decimals), which suggests that the error is either a transposition or a slide.

Error 3. Mislabeling an item. Assume that Redberry accidentally listed Accounts Receivable as a credit balance instead of a debit. Recompute the trial balance totals for debits and credits. Then take the difference between total debits and total credits, and divide the difference by 2. You get back to the original amount of Accounts Receivable.

L0 2

S2-12. (Learning Objective 2: Using key accounting terms) Accounting has its own vocabulary and basic relationships. Match the accounting terms at left with the corresponding definition or meaning at right.

- | | |
|-------------------------|---|
| _____ 1. Normal balance | A. Record of transactions |
| _____ 2. Payable | B. Always an asset |
| _____ 3. Journal | C. Left side of an account |
| _____ 4. Receivable | D. Side of an account where increases are recorded |
| _____ 5. Owners' equity | E. Copying data from the journal to the ledger |
| _____ 6. Debit | F. A decrease in shareholders' equity |
| _____ 7. Expense | G. Always a liability |
| _____ 8. Net income | H. Revenues – Expenses |
| _____ 9. Ledger | I. Collection of accounts used in a business |
| _____ 10. Posting | J. Assets – Liabilities |

L0 5

S2-13. (Learning Objective 5: Analyzing transactions without a journal) Seventh Investments, Inc., began by issuing ordinary shares for cash of \$200,000. The company immediately purchased computer equipment on account for \$120,000.

- Set up the following T-accounts of Seventh Investments, Inc.: Cash, Computer Equipment, Accounts Payable, Share Capital.
- Record the first two transactions of the business directly in the T-accounts without using a journal.
- Show that total debits equal total credits.

Exercises MyLab Accounting

Select A and B exercises can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete these select exercises using MyLab Accounting.

Group A

L0 1

■ writing assignment

E2-14A. (Learning Objective 1: Analyzing transactions) Assume M. Crew opened a store in Hong Kong, starting with cash and ordinary shares of \$81,000. Melissa Lim, the store manager, then signed a note payable to purchase land for \$75,000 and a building for \$101,000. Lim also paid \$60,000 for equipment and \$7,000 for supplies to use in the business.

Suppose the home office of M. Crew requires a weekly report from store managers. Write Lim's memo to the home office to report on her purchases. Include the store's Balance Sheet as the final part of your memo. Prepare a T-account to compute the balance for Cash.

L0 1 3

E2-15A. (Learning Objective 1, 3: Analyzing transactions) The following selected events were experienced by either Solution Seekers, Inc., a corporation, or Paul Flynn, the major shareholder. State whether each event (1) increased, (2) decreased, or (3) had no effect on the total assets of the business. Identify any specific asset affected.

- Received \$9,100 cash from customers on account.
- Flynn used personal funds to purchase a theater system for his home.
- Sold land and received cash of \$55,000 (the land was carried on the company's books at \$55,000).
- Borrowed \$75,000.
- Made cash purchase of land for a building site, \$85,000.
- Received \$20,000 cash and issued shares to a shareholder.
- Paid \$65,000 cash on accounts payable.
- Purchased equipment and signed a \$103,500 promissory note in payment.
- Purchased merchandise inventory on account for \$10,000.
- The business paid Flynn a cash dividend of \$4,500.

L0 1 2

E2-16A. (Learning Objective 1, 2: Analyzing transactions; using the accounting equation) Harry Samson opened a medical practice specializing in surgery. During the first month of operation (March), the business, titled Harry Samson, Professional Corporation (P.C.), experienced the following events:

Mar	6	Samson invested \$40,000 in the business, which in turn issued its ordinary shares to him.
	9	The business paid cash for land costing \$22,000. Samson plans to build an office building on the land.
	12	The business purchased medical supplies for \$15,000 on account.
	15	Harry Samson, P.C., officially opened for business.
	15–31	During the rest of the month, Samson treated patients and earned service revenue of \$8,500, receiving cash for half the revenue earned.
	15–31	The business paid cash expenses: employee salaries, \$750; office rent, \$700; utilities, \$300.
	31	The business sold supplies to another physician for cost of \$300.
	31	The business borrowed \$17,000, signing a note payable to the bank.
	31	The business paid \$1,200 on account.

Requirements

1. Analyze the effects of these events on the accounting equation of the medical practice of Harry Samson, P.C.
2. After completing the analysis, answer these questions about the business.
 - a. How much are total assets?
 - b. How much does the business expect to collect from patients?
 - c. How much does the business owe in total?
 - d. How much of the business's assets does Samson really own?
 - e. How much net income or net loss did the business experience during its first month of operations?

E2-17A. (*Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions*) Refer to Exercise 2-16A.

L0 2 3

Requirement

1. Record the transactions in the journal of Harry Samson, P.C. List the transactions by date and give an explanation for each transaction.

E2-18A. (*Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions*) Harris Tree Cellular, Inc., completed the following transactions during April 20X6, its first month of operations:

L0 2 3

Apr	1	Received \$18,200 and issued ordinary shares.
	2	Purchased \$200 of office supplies on account.
	4	Paid \$15,200 cash for land to use as a building site.
	6	Performed service for customers and received cash of \$3,300.
	9	Paid \$100 on accounts payable.
	17	Performed service for ShipEx on account totaling \$2,100.
	23	Collected \$1,000 from ShipEx on account.
	30	Paid the following expenses: salary, \$1,200; rent, \$600.

Requirement

1. Record the transactions in the journal of Harris Tree Cellular, Inc. Key transactions by date and include an explanation for each entry.

E2-19A. (*Learning Objectives 3, 4: Posting to the ledger; preparing and using a trial balance*) Refer to Exercise 2-18A.

L0 3 4

Requirements

1. After journalizing the transactions of Exercise 2-18A, post the entries to the ledger, using T-accounts. Key transactions by date. Date the ending balance of each account April 30.

2. Prepare the trial balance of Harris Tree Cellular, Inc., at April 30, 20X6.
3. How much are total assets, total liabilities, and total shareholders' equity on April 30?

L0 2 3

E2-20A. (Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions) The first seven transactions of Fournier Advertising, Inc., have been posted to the company's accounts as follows:

Cash		Supplies		Equipment		Land	
(1) 9,200	(3) 10,000	(4) 600	(5) 200	(6) 3,200		(3) 40,000	
(2) 7,500	(6) 3,200						
(5) 200	(7) 200						

Accounts Payable		Note Payable		Share Capital	
(7) 200	(4) 600		(2) 7,500		(1) 9,200
			(3) 30,000		

Requirement

1. Prepare the journal entries that served as the sources for the seven transactions. Include an explanation for each entry. As Fournier moves into the next period, how much cash does the business have? How much does Fournier owe in total liabilities?

L0 4

E2-21A. (Learning Objective 4: Preparing and using a trial balance) The accounts of Deluxe Deck Service, Inc., follow with their normal balances at June 30, 20X6. The accounts are listed in no particular order.

Account	Balance	Account	Balance
Share Capital.....	\$ 8,500	Dividends.....	\$ 6,100
Accounts payable	4,200	Utilities expense	3,000
Service revenue.....	21,200	Accounts receivable.....	16,000
Land.....	27,900	Delivery expense	600
Note payable.....	11,600	Retained earnings.....	26,100
Cash.....	9,000	Salary expense.....	8,100

Requirements

1. Prepare the company's trial balance at June 30, 20X6, listing accounts in proper sequence, as illustrated in the chapter. For example, Accounts Receivable comes before Land. List the expense with the largest balance first, the expense with the next largest balance second, and so on.
2. Prepare the financial statement for the month ended June 30, 20X6, which will tell the company the results of operations for the month.

L0 5

E2-22A. (Learning Objective 5: Correcting errors in a trial balance) The trial balance of Carver, Inc., at September 30, 20X6, does not balance:

Cash.....	\$ 4,200	
Accounts receivable.....	13,200	
Inventory.....	16,700	
Supplies.....	100	
Land.....	52,100	
Accounts payable		\$ 11,800
Share capital.....		45,000
Service revenue.....		32,500
Salary expense.....	1,200	
Rent expense.....	1,400	
Utilities expense	500	
Total	<u>\$ 89,400</u>	<u>\$ 89,300</u>

The accounting records hold the following errors:

- a. Recorded a \$500 cash revenue transaction by debiting Accounts Receivable. The credit entry was correct.
- b. Posted a \$2,000 credit to Accounts Payable as \$200.
- c. Did not record utilities expense or the related account payable in the amount of \$1,000.
- d. Understated Share Capital by \$1,400.
- e. Omitted Insurance Expense of \$4,000 from the trial balance.

Requirement

1. Prepare the correct trial balance at September 30, 20X6, complete with a heading. Journal entries are not required.

E2-23A. (Learning Objective 5: Recording transactions without a journal) Set up the following T-accounts: Cash, Accounts Receivable, Office Supplies, Office Furniture, Accounts Payable, Share Capital, Dividends, Service Revenue, Salary Expense, and Rent Expense. Record the following transactions directly in the T-accounts without using a journal. Use the letters to identify the transactions.

L0 5

- a. Linda Oxford opened a law firm by investing \$13,000 cash and office furniture valued at \$7,500. Organized as a corporation, the business issued ordinary shares to Oxford.
- b. Paid monthly rent of \$1,200.
- c. Purchased office supplies on account, \$600.
- d. Paid employees' salaries of \$1,700.
- e. Paid \$200 of the account payable created in Transaction c.
- f. Performed legal service on account, \$8,200.
- g. Declared and paid dividends of \$3,300.

E2-24A. (Learning Objective 4: Preparing and using a trial balance) Refer to Exercise 2-23A.

L0 4

1. After recording the transactions in Exercise 2-23A, prepare the trial balance of Linda Oxford, Attorney, at May 31, 20X6. Use the T-accounts that have been prepared for the business.
2. How well did the business perform during its first month? Compute net income (or net loss) for the month.

■ writing assignment

Group B

E2-25B. (Learning Objective 1: Analyzing transactions) Assume T. Crew opened a store in Frankfurt, Germany, starting with cash and ordinary shares of €85,000. Barbara Breen, the store manager, then signed a note payable to purchase land for €87,000 and a building for €123,000. Breen also paid €59,000 for equipment and €12,000 for supplies to use in the business.

L0 1

■ writing assignment

Suppose the home office of T. Crew requires a weekly report from store managers. Write Breen's memo to the head office to report on her purchases. Include the store's Balance Sheet as the final part of your memo. Prepare a T-account to compute the balance for Cash.

E2-26B. (Learning Objective 1: Analyzing transactions) The following selected events were experienced by either Simple Solutions, Inc., a corporation, or Bob Gallagher, the major shareholder. State whether each event (1) increased, (2) decreased, or (3) had no effect on the total assets of the business. Identify any specific asset affected.

L0 1

- a. Received €25,000 cash and issued shares to a shareholder.
- b. Purchased equipment for €62,000 cash.
- c. Paid €11,000 cash on accounts payable.
- d. Gallagher used personal funds to purchase a flat screen TV for his home.
- e. Purchased land for a building site and signed a €95,000 promissory note to the bank.
- f. Received €18,000 cash from customers for services performed.
- g. Sold land and received a note receivable of €45,000 (the land was carried on the company's books at €45,000).
- h. Earned €32,000 in revenue for services performed. The customer promises to pay Simple Solutions in one month.
- i. Purchased supplies on account for €4,500.
- j. The business paid Gallagher a cash dividend of €5,000.

L0 1 2

E2-27B. (*Learning Objective 1, 2: Analyzing transactions; using the accounting equation*) Kyle Cohen opened a medical practice specializing in surgery. During the first month of operation (July), the business, titled Kyle Cohen, Professional Corporation (P.C.), experienced the following events:

Jul	6	Cohen invested €54,000 in the business, which in turn issued its ordinary shares to him.
	9	The business paid cash for land costing €21,000. Cohen plans to build an office building on the land.
	12	The business purchased medical supplies for €3,200 on account.
	15	Kyle Cohen, P.C., officially opened for business.
	15–31	During the rest of the month, Cohen treated patients and earned service revenue of €8,400, receiving cash for half the revenue earned.
	15–31	The business paid cash expenses: employee salaries, €700; office rent, €750; utilities, €500.
	31	The business sold supplies to another physician for cost of €500.
	31	The business borrowed €17,000, signing a note payable to the bank.
	31	The business paid €800 on account.

Requirements

- Analyze the effects of these events on the accounting equation of the medical practice of Kyle Cohen, P.C.
- After completing the analysis, answer these questions about the business.
 - How much are total assets?
 - How much does the business expect to collect from patients?
 - How much does the business owe in total?
 - How much of the business's assets does Cohen really own?
 - How much net income or net loss did the business experience during its first month of operations?

L0 2 3

E2-28B. (*Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions*) Refer to Exercise 2-27B.

Requirement

- Record the transactions in the journal of Kyle Cohen, P.C. List the transactions by date and give an explanation for each transaction.

L0 2 3

E2-29B. (*Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions*) Green Tree Cellular, Inc., completed the following transactions during April 20X6, its first month of operations:

Apr	1	Received €20,100 and issued ordinary shares.
	2	Purchased €700 of office supplies on account.
	4	Paid €15,200 cash for land to use as a building site.
	6	Performed service for customers and received cash of €2,300.
	9	Paid €150 on accounts payable.
	17	Performed service for UPS on account totaling €1,100.
	23	Collected €850 from UPS on account.
	30	Paid the following expenses: salary, €1,700; rent, €1,300.

Requirement

- Record the transactions in the journal of Green Tree Cellular, Inc. Key transactions by date and include an explanation for each entry.

L0 3 4

E2-30B. (*Learning Objectives 3, 4: Posting to the ledger; preparing and using a trial balance*) Refer to Exercise 2-29B.

Requirements

1. Post the entries to the ledger, using T-accounts. Key transactions by date. Date the ending balance of each account April 30.
2. Prepare the trial balance of Green Tree Cellular, Inc., at April 30, 20X6.
3. From the trial balance, determine total assets, total liabilities, and total shareholders' equity on April 30?

E2-31B. (*Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions*) The first seven transactions of Portman Advertising, Inc., have been posted to the company's accounts as follows:

L0 2 3

Cash		Supplies		Equipment		Land	
(1) 9,000	(3) 6,500	(4) 750	(5) 90	(6) 7,000		(3) 28,500	
(2) 6,300	(6) 7,000						
(5) 90	(7) 70						

Accounts Payable		Note Payable		Share Capital	
(7) 70	(4) 750		(2) 6,300		(1) 9,000
			(3) 22,000		

Requirement

1. Prepare the journal entries that served as the sources for the seven transactions. Include an explanation for each entry. As Portman moves into the next period, how much cash does the business have? How much does Portman owe in total liabilities?

E2-32B. (*Learning Objective 5: Preparing and using a trial balance*) The accounts of Grand Pool Service, Inc., follow with their normal balances at June 30, 20X6. The accounts are listed in no particular order.

L0 5

Account	Balance	Account	Balance
Share Capital.....	€ 7,000	Dividends.....	€ 8,100
Accounts payable.....	5,700	Utilities expense	2,000
Service revenue.....	23,100	Accounts receivable.....	15,900
Land.....	25,100	Delivery expense	500
Note payable.....	7,200	Retained earnings.....	25,300
Cash.....	9,200	Salary expense.....	750

Requirements

1. Prepare the company's trial balance at June 30, 20X6, listing accounts in proper sequence, as illustrated in the chapter. For example, Accounts Receivable comes before Land. List the expense with the largest balance first, the expense with the next largest balance second, and so on.
2. Prepare the financial statement for the month ended June 30, 20X6, that will tell the company the results of operations for the month.

E2-33B. (*Learning Objective 5: Correcting errors in a trial balance*) The trial balance of Farris, Inc., at June 30, 20X6, does not balance.

L0 5

Cash.....	€ 4,000	
Accounts receivable.....	12,800	
Inventory.....	17,000	
Supplies.....	500	
Land.....	50,100	
Accounts payable		€ 14,200
Share capital.....		45,300
Service revenue.....		30,300
Salary expense.....	2,100	
Rent expense	800	
Utilities expense	500	
Total	€ 87,800	€ 89,800

The accounting records hold the following errors:

- a. Recorded a €300 cash revenue transaction by debiting Accounts Receivable. The credit entry was correct.
- b. Posted a €1,000 credit to Accounts Payable as €100.
- c. Did not record utilities expense or the related account payable in the amount of €200.
- d. Understated Share Capital by €200.
- e. Omitted Insurance Expense of €3,100 from the trial balance.

Requirement

1. Prepare the correct trial balance at June 30, 20X6, complete with a heading. Journal entries are not required.

L0 5

E2-34B. (Learning Objective 5: Recording transactions without a journal) Set up the following T-accounts: Cash, Accounts Receivable, Office Supplies, Office Furniture, Accounts Payable, Share Capital, Dividends, Service Revenue, Salary Expense, and Rent Expense. Record the following transactions directly in the T-accounts without using a journal. Use the letters to identify the transactions.

- a. Linda Conway opened a law firm by investing €12,000 cash and office furniture valued at €8,900. Organized as a corporation, the business issued ordinary shares to Conway.
- b. Paid monthly rent of €1,500.
- c. Purchased office supplies on account, €600.
- d. Paid employee salaries of €2,100.
- e. Paid €400 of the accounts payable created in Transaction c.
- f. Performed legal service on account, €9,100.
- g. Declared and paid dividends of €2,000.

L0 4

E2-35B. (Learning Objective 4: Preparing and using a trial balance) Refer to Exercise 2-34B.

Requirements

1. Prepare the trial balance of Linda Conway, Attorney, at January 31, 20X6. Use the T-accounts that have been prepared for the business.
2. How well did the business perform during its first month? Compute net income (or net loss) for the month.

Serial Exercise

Exercise 2-36 begins an accounting cycle exercise that will be completed in Chapter 3.

L0 2 3 4

E2-36. (Learning Objectives 2, 3, 4: Recording transactions; preparing a trial balance) Jerome Smith, Certified Public Accountant, operates as a professional corporation (P.C.). The business completed these transactions during the first part of March, 20X6:

Mar	2	Received \$6,500 cash from Smith, and issued ordinary shares to him.
	2	Paid monthly office rent, \$500.
	3	Paid cash for a Dell computer, \$2,500, with the computer expected to remain in service for five years.
	4	Purchased office furniture on account, \$7,200, with the furniture projected to last for five years.
	5	Purchased supplies on account, \$400.
	9	Performed tax service for a client and received cash for the full amount of \$1,500.
	12	Paid utility expenses, \$400.
	18	Performed consulting service for a client on account, \$1,900.

Requirements

1. Journalize the transactions. Explanations are not required.
2. Post to the T-accounts. Key all items by date and denote an account balance on March 18, 20X6, as Bal.
3. Prepare a trial balance at March 18, 20X6. In the Serial Exercise of Chapter 3, we add transactions for the remainder of March and will require a trial balance at March 31.

Challenge Exercises

E2-37. (Learning Objective 5: Computing financial statement amounts) The manager of Pierce Furniture needs to compute the following amounts:

L0 5

- a. Total cash paid during October.
- b. Cash collections from customers during October. Analyze Accounts Receivable.
- c. Cash paid on a note payable during October. Analyze Notes Payable.

Here's the additional data you need to analyze the accounts:

Account	Balance		Additional Information for the Month of October
	Sep 30	Oct 31	
1. Cash.....	\$ 12,000	\$ 6,000	Cash receipts, \$ 85,000
2. Accounts Receivable.....	27,500	26,000	Sales on account, \$ 50,000
3. Notes Payable	16,100	23,000	New borrowing, \$ 15,000

Requirement

1. Prepare a T-account to compute each amount, *a* through *c*.

E2-38. (Learning Objectives 1, 4: Analyzing transactions; using a trial balance) The trial balance of Circle 360, Inc., at October 31, 20X6, does not balance.

L0 1 4

Cash.....	\$ 4,200	Share capital.....	\$ 20,800
Accounts receivable.....	6,900	Retained earnings.....	7,900
Land.....	35,100	Service revenue.....	9,100
Accounts payable	6,200	Salary expense.....	3,000
Note payable.....	5,100	Advertising expense.....	1,100

Requirements

1. How much out of balance is the trial balance? Determine the out-of-balance amount. The error lies in the Accounts Receivable account. Add the out-of-balance amount to, or subtract it from, Accounts Receivable to determine the correct balance of Accounts Receivable.
2. After correcting Accounts receivable, advise the top management of Circle 360, Inc., on the company's
 - a. total assets
 - b. total liabilities
 - c. net income or net loss for October

E2-39. (Learning Objective 1: Analyzing transactions) This question concerns the items and the amounts that two entities, Nashua Co. and Ditka Hospital, should report in their financial statements.

L0 1

During September, Ditka provided Nashua with medical exams for Nashua employees and sent a bill for \$3,000. On October 7, Nashua sent a check to Ditka for \$24,000. Nashua began September with a cash balance of \$43,000; Ditka began with cash of \$0.

Requirements

1. For this situation, show everything that both Nashua and Ditka will report on their September and October Income Statements and on their Balance Sheets at September 30 and October 31.
2. After showing what each company should report, briefly explain how the Nashua and Ditka data relate to each other.

Quiz

Test your understanding of recording business transactions by answering the following questions. Select the best choice from among the possible answers.

- Q2-40.** A shareholder's investment of cash into the business will
- | | |
|--------------------------------|------------------------------------|
| a. decrease total assets. | c. increase shareholders' equity. |
| b. decrease total liabilities. | d. have no effect on total assets. |
- Q2-41.** Purchasing a laptop computer on account will
- | | |
|--|--------------------------------|
| a. increase total assets. | c. increase total liabilities. |
| b. have no effect on shareholders' equity. | d. all of the above. |
- Q2-42.** Performing a service on account will
- | | |
|-----------------------------------|---------------------------|
| a. increase total liabilities. | c. increase total assets. |
| b. increase shareholders' equity. | d. both b and c. |
- Q2-43.** Receiving cash from a customer on account will
- | | |
|---------------------------|------------------------------------|
| a. increase total assets. | c. increase shareholders' equity. |
| b. decrease liabilities. | d. have no effect on total assets. |
- Q2-44.** Purchasing computer equipment for cash will
- | |
|--|
| a. decrease both total assets and shareholders' equity. |
| b. decrease both total liabilities and shareholders' equity. |
| c. have no effect on total assets, total liabilities, or shareholders' equity. |
| d. increase both total assets and total liabilities. |
- Q2-45.** Purchasing a building for \$110,000 by paying cash of \$15,000 and signing a note payable for \$95,000 will
- | |
|--|
| a. decrease total assets and increase total liabilities by \$15,000. |
| b. increase both total assets and total liabilities by \$95,000. |
| c. increase both total assets and total liabilities by \$110,000. |
| d. decrease both total assets and total liabilities by \$15,000. |
- Q2-46.** What is the effect on total assets and shareholders' equity of paying the telephone bill as soon as it is received each month?
- | | |
|---------------------|-----------------------------|
| Total assets | Shareholders' equity |
| a. Decrease | Decrease |
| b. No effect | Decrease |
| c. No effect | No effect |
| d. Decrease | No effect |
- Q2-47.** Which of the following transactions will increase an asset and increase a liability?
- | | |
|---|--------------------------------|
| a. Purchasing office equipment for cash | c. Buying equipment on account |
| b. Paying an account payable | d. Issuing shares |
- Q2-48.** Which of the following transactions will increase an asset and increase shareholders' equity?
- | |
|---|
| a. Performing a service on account for a customer |
| b. Borrowing money from a bank |
| c. Purchasing supplies on account |
| d. Collecting cash from a customer on an account receivable |

Q2-49. Where do we first record a transaction?

- a. Journal
- b. Account
- c. Ledger
- d. Trial balance

Q2-50. Which of the following is not an asset account?

- a. Service Revenue
- b. Share Capital
- c. Salary Expense
- d. None of the above accounts is an asset.

Q2-51. Which statement is false?

- a. Dividends are increased by credits.
- b. Assets are increased by debits.
- c. Revenues are increased by credits.
- d. Liabilities are decreased by debits.

Q2-52. The journal entry to record the receipt of land and a building and issuance of ordinary shares

- a. debits Share Capital and credits Land and Building.
- b. debits Land and Building and credits Share Capital.
- c. debits Land and credits Share Capital.
- d. debits Land, Building, and Share Capital.

Q2-53. The journal entry to record the purchase of supplies on account

- a. debits Supplies Expense and credits Supplies.
- b. debits Supplies and credits Accounts Payable.
- c. credits Supplies and debits Cash.
- d. credits Supplies and debits Accounts Payable.

Q2-54. If the credit to record the purchase of supplies on account is not posted,

- a. liabilities will be understated.
- b. expenses will be overstated.
- c. assets will be understated.
- d. shareholders' equity will be understated.

Q2-55. The journal entry to record a payment on account will

- a. debit Expenses and credit Cash.
- b. debit Cash and credit Expenses.
- c. debit Accounts Payable and credit Retained Earnings.
- d. debit Accounts Payable and credit Cash.

Q2-56. If the credit to record the payment of an account payable is not posted,

- a. cash will be overstated.
- b. liabilities will be understated.
- c. expenses will be understated.
- d. cash will be understated.

Q2-57. Which statement is false?

- a. A trial balance lists all the accounts with their current balances.
- b. A trial balance can be taken at any time.
- c. A trial balance can verify the equality of debits and credits.
- d. A trial balance is the same as a Balance Sheet.

Q2-58. A business's receipt of a \$105,000 building, with a \$65,000 mortgage payable and issuance of \$40,000 of ordinary shares, will

- a. increase shareholders' equity by \$40,000.
- b. increase assets by \$65,000.
- c. decrease assets by \$65,000.
- d. increase shareholders' equity by \$105,000.

Q2-59. Gartex, a new company, completed these transactions.

1. Shareholders invested \$45,000 cash and inventory worth \$28,000.
2. Sales on account, \$20,000.

What will Gartex's total assets equal?

- a. \$93,000
- b. \$73,000
- c. \$65,000
- d. \$53,000

Problems MyLab Accounting

Select A and B problems can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete these select problems using MyLab Accounting.

Group A

L0 4

■ writing assignment

P2-60A. (Learning Objective 4: Analyzing a trial balance) The trial balance of Luxury Specialties, Inc., follows.

A1					
	A	B	C	D	E
1	Luxury Specialties Trial Balance December 31, 20X6				
2	Cash	\$ 12,000			
3	Accounts receivable	46,000			
4	Prepaid expenses	3,000			
5	Equipment	245,000			
6	Building	101,000			
7	Accounts payable		\$ 107,000		
8	Note payable		95,000		
9	Share capital		32,000		
10	Retained earnings		35,000		
11	Dividends	19,000			
12	Service revenue		255,000		
13	Rent expense	308,000			
14	Advertising expense	5,000			
15	Wage expense	58,000			
16	Supplies expense	7,000			
17	Total	\$ 524,000	\$ 524,000		
18					

Ashley Richards, your best friend, is considering investing in Luxury Specialties, Inc. Ashley seeks your advice in interpreting this information. Specifically, she asks how to use this trial balance to compute the company's total assets, total liabilities, and net income or net loss for the year.

Requirement

- Write a short note to answer Ashley's questions. In your note, state the amounts of Luxury Specialties' total assets, total liabilities, and net income or net loss for the year. Also show how you computed each amount.

L0 1

P2-61A. (Learning Objective 1: Analyzing transactions with the accounting equation; preparing the financial statements) The following amounts summarize the financial position of Mason Resources, Inc., on May 31, 20X6:

Assets							=	Liabilities	+	Shareholders' Equity			
	Cash	+	Accounts Receivable	+	Supplies	+	Land	=	Accounts Payable	+	Share Capital	+	Retained Earnings
Bal.	1,350		1,250				11,500		7,200		4,500		2,400

During June 20X6, Mason Resources completed these transactions:

- The business received cash of \$8,100 and issued ordinary shares.
- Performed services for a customer and received cash of \$7,200.
- Paid \$5,100 on accounts payable.
- Purchased supplies on account, \$700.

- e. Collected cash from a customer on account, \$1,000.
- f. Consulted on the design of a computer system and billed the customer for services rendered, \$2,400.
- g. Recorded the following business expenses for the month: (1) paid office rent—\$1,200; (2) paid advertising—\$900.
- h. Declared and paid a cash dividend of \$1,400.

Requirements

1. Analyze the effects of the preceding transactions on the accounting equation of Mason Resources, Inc.
2. Prepare the Income Statement of Mason Resources, Inc., for the month ended June 30, 20X6. List expenses in decreasing order by amount.
3. Prepare the entity's statement of changes in equity for the month ended June 30, 20X6.
4. Prepare the Balance Sheet of Mason Resources, Inc., at June 30, 20X6.

P2-62A. (*Learning Objectives 2, 3: Recording transactions; posting*) This problem can be used in conjunction with Problem 2-61A.

L0 2 3

Requirements

1. Journalize the June transactions of Mason Resources, Inc. Explanations are not required.
2. Prepare T-Accounts for each account. Insert in each T-account its May 31 balance as given (example: Cash \$1,150). Then, post the June transactions to the T-accounts.
3. Compute the balance in each account.

P2-63A. (*Learning Objectives 1, 2, 3: Analyzing transactions; understanding how accounting works; journalizing transactions*) Demers Real Estate Co. experienced the following events during the organizing phase and its first month of operations. Some of the events were personal for the shareholders and did not affect the business. Others were transactions of the business.

L0 1 2 3

- | | | |
|-----|----|---|
| Nov | 4 | David Demers, the major shareholder of a real estate company, received \$75,000 cash from an inheritance. |
| | 5 | Demers deposited \$45,000 cash in a new business bank account titled Demers Real Estate Co. The business issued ordinary shares to Demers. |
| | 6 | The business paid \$700 cash for letterhead stationery for the new office. |
| | 7 | The business purchased office equipment. The company paid cash of \$13,000 and agreed to pay the account payable for the remainder, \$7,000, within three months. |
| | 10 | Demers sold EVN shares, which he had owned for several years, receiving \$74,500 cash from his stockbroker. |
| | 11 | Demers deposited the \$74,500 cash from sale of the EVN shares in his personal bank account. |
| | 12 | A representative of a large company telephoned Demers and told him of the company's intention to transfer \$16,000 of business to Demers. |
| | 18 | Demers finished a real estate deal for a client and submitted his bill for services, \$4,000. Demers expects to collect from the client within two weeks. |
| | 21 | The business paid half its account payable on the equipment purchased on November 7. |
| | 25 | The business paid office rent of \$1,500. |
| | 30 | The business declared and paid a cash dividend of \$2,100. |

Requirements

- Classify each of the preceding events as one of the following:
 - A business-related event but not a transaction to be recorded by Demers Real Estate Co.
 - A business transaction for a shareholder, not to be recorded by Demers Real Estate Co.
 - A business transaction to be recorded by Demers Real Estate Co.
- Analyze the effects of the preceding events on the accounting equation of Demers Real Estate Co.
- Record the transactions of the business in its journal. Include an explanation for each entry.

L0 2 3

P2-64A. (*Learning Objectives 2, 3: Understanding how accounting works; analyzing and recording transactions*) During December, Smith Auction Co. completed the following transactions:

Dec	1	Smith received \$25,000 cash and issued ordinary shares to the shareholders.
	5	Paid monthly rent, \$1,200.
	9	Paid \$7,200 cash and signed a \$31,000 note payable to purchase land for an office site.
	10	Purchased supplies on account, \$1,500.
	19	Paid \$700 on account.
	22	Borrowed \$21,000 from the bank for business use. Smith signed a note payable to the bank in the name of the business.
	31	Service revenue earned during the month included \$13,000 cash and \$7,000 on account.
	31	Paid employees' salaries (\$2,200), advertising expense (\$1,600), and utilities expense (\$1,500).
	31	Declared and paid a cash dividend of \$6,200.

Smith's business uses the following accounts: Cash, Accounts Receivable, Supplies, Land, Accounts Payable, Notes Payable, Share Capital, Dividends, Service Revenue, Salary Expense, Advertising Expense, and Utilities Expense.

Requirements

- Journalize each transaction of Smith Auction Co. Explanations are not required.
- Post to these T-accounts: Cash, Accounts Payable, and Notes Payable.
- After these transactions, how much cash does the business have? How much in total liabilities does it owe?

L0 2 3 4

P2-65A. (*Learning Objectives 2, 3, 4: Understanding how accounting works; journalizing transactions; posting; preparing and using a trial balance*) During the first month of operations, Simmons Heating and Air Conditioning, Inc., completed the following transactions:

Jan	2	Simmons received \$45,000 cash and issued ordinary shares to the shareholders.
	3	Purchased supplies, \$300, and equipment, \$5,200, on account.
	4	Performed services for a customer and received cash, \$2,400.
	7	Paid cash to acquire land, \$25,000.
	11	Performed services for a customer and billed the customer, \$1,100. We expect to collect within one month.
	16	Paid for the equipment purchased January 3 on account.
	17	Paid the telephone bill, \$200.
	18	Received partial payment from customer on account, \$540.
	22	Paid the water and electricity bills, \$130.
	29	Received \$1,500 cash for servicing the heating unit of a customer.
	31	Paid employee salary, \$2,800.
	31	Declared and paid dividends of \$2,500.

Requirements

1. Record each transaction in the journal. Key each transaction by date. Explanations are not required.
2. Post the transactions to the T-accounts, using transaction dates as posting references. Label the ending balance of each account Bal., as shown in the chapter.
3. Prepare the trial balance of Simmons Heating and Air Conditioning, Inc., at January 31 of the current year.
4. The manager asks you how much in total resources the business has to work with, how much it owes, and whether January was profitable (and by how much).

P2-66A. (*Learning Objectives 4, 5: Recording transactions directly in T-accounts; preparing and using a trial balance*) During the first month of operations (November 20X6), Stein Services Corporation completed the following selected transactions:

L0 4 5

- a. The business received cash of \$32,000 and a building valued at \$51,000. The corporation issued ordinary shares to the shareholders.
- b. Borrowed \$35,000 from the bank; signed a note payable.
- c. Paid \$33,000 for music equipment.
- d. Purchased supplies on account, \$400.
- e. Paid employees' salaries, \$1,500.
- f. Received \$2,300 for music service performed for customers.
- g. Performed service for customers on account, \$300.
- h. Paid \$200 of the account payable created in Transaction d.
- i. Received a \$550 bill for utility expense that will be paid in the near future.
- j. Received cash on account, \$2,100.
- k. Paid the following cash expenses: (1) rent, \$1,100; (2) advertising, \$600.

Requirements

1. Record each transaction directly in the T-accounts without using a journal. Use the letters to identify the transactions.
2. Prepare the trial balance of Stein Services Corporation at November 30, 20X6.

Group B

P2-67B. (*Learning Objective 4: Analyzing a trial balance*) The trial balance of Advantage Specialties, Inc., follows:

L0 4

■ **writing assignment**

A1					
	A	B	C	D	E
1	Advantage Specialties, Inc.				
	Trial Balance				
	December 31, 20X6				
2	Cash	€ 12,100			
3	Accounts receivable	48,000			
4	Prepaid expenses	6,000			
5	Equipment	225,000			
6	Building	95,000			
7	Accounts payable		€ 105,000		
8	Note payable		87,500		
9	Share capital		35,000		
10	Retained earnings		37,000		
11	Dividends	22,000			
12	Service revenue		244,600		
13	Rent expense	23,000			
14	Advertising expense	5,000			
15	Wage expense	67,000			
16	Supplies expense	6,000			
17	Total	€ 509,100	€ 509,100		
18					

Rebecca Smith, your best friend, is considering making an investment in Advantage Specialties, Inc. Rebecca seeks your advice in interpreting the company's information. Specifically, she asks how to use this trial balance to compute the company's total assets, total liabilities, and net income or net loss for the year.

Requirement

1. Write a short note to answer Rebecca's questions. In your note, state the amounts of Advantage Specialties' total assets, total liabilities, and net income or net loss for the year. Also show how you computed each amount.

L0 1

P2-68B. (*Learning Objective 1: Analyzing transactions with the accounting equation; preparing the financial statements*) The following amounts summarize the financial position of Rodriguez Resources on May 31, 20X6:

Assets							=	Liabilities	+	Shareholders' Equity			
	Cash	+	Accounts Receivable	+	Supplies	+	Land	=	Accounts Payable	+	Share Capital	+	Retained Earnings
Bal.	1,200		1,500				12,500		6,300		5,200		3,700

During June, 20X6, the business completed these transactions:

- a. Rodriguez Resources received cash of €7,500 and issued shares.
- b. Performed services for a customer and received cash of €6,300.
- c. Paid €5,200 on accounts payable.
- d. Purchased supplies on account, €500.
- e. Collected cash from a customer on account, €300.
- f. Consulted on the design of a computer system and billed the customer for services rendered, €3,100.
- g. Recorded the following expenses for the month: (1) paid office rent, €700; (2) paid advertising, €900.
- h. Declared and paid a cash dividend of €2,200.

Requirements

1. Analyze the effects of the preceding transactions on the accounting equation of Rodriguez Resources, Inc.
2. Prepare the Income Statement of Rodriguez Resources, Inc., for the month ended June 30, 20X6. List expenses in decreasing order by amount.
3. Prepare the statement of changes in equity of Rodriguez Resources, Inc., for the month ended June 30, 20X6.
4. Prepare the Balance Sheet of Rodriguez Resources, Inc., at June 30, 20X6.

L0 2 3

P2-69B. (*Learning Objectives 2, 3: Understanding how accounting works; journalizing transactions; posting*) This problem can be used in conjunction with Problem 2-68B. Refer to Problem 2-68B.

Requirements

1. Journalize the transactions of Rodriguez Resources, Inc. Explanations are not required.
2. Prepare T-accounts for each account. Insert in each T-account its May 31 balance as given (example: Cash €1,450). Then, post the June transactions to the T-accounts.
3. Compute the balance in each account.

L0 1 2 3

P2-70B. (*Learning Objectives 1, 2, 3: Analyzing transactions; understanding how accounting works; journalizing transactions*) Smith Real Estate Co. experienced the following events during the organizing phase and its first month of operations. Some of the events were personal for the shareholders and did not affect the business. Others were transactions of the business.

- | | | |
|-----|----|---|
| Nov | 4 | John Smith, the major shareholder of real estate company, received €121,000 cash from an inheritance. |
| | 5 | Smith deposited €61,000 cash in a new business bank account titled Smith Real Estate Co. The business issued ordinary shares to Smith. |
| | 6 | The business paid €700 cash for letterhead stationery for the new office. |
| | 7 | The business purchased office equipment. The company paid cash of €13,500 and agreed to pay the account payable for the remainder, €7,500, within three months. |
| | 10 | Smith sold DLD shares, which he owned for several years, receiving €68,000 cash from his stockbroker. |
| | 11 | Smith deposited the €68,000 cash from sale of the DLD shares in his personal bank account. |
| | 12 | A representative of a large company telephoned Smith and told him of the company's intention to transfer €13,000 of business to Smith. |
| | 18 | Smith finished a real estate deal for a client and submitted his bill for services, €5,000. Smith expects to collect from the client within two weeks. |
| | 21 | The business paid half its account payable for the equipment purchased on November 7. |
| | 25 | The business paid office rent of €700. |
| | 30 | The business declared and paid a cash dividend of €2,000. |

Requirements

- Classify each of the preceding events as one of the following:
 - A business-related event but not a transaction to be recorded by Smith Real Estate Co.
 - A business transaction for a shareholder, not to be recorded by Smith Real Estate Co.
 - A business transaction to be recorded by the Smith Real Estate Co.
- Analyze the effects of the preceding events on the accounting equation of Smith Real Estate Co.
- Record the transactions of the business in its journal. Include an explanation for each entry.

P2-71B. (Learning Objectives 2, 3: Analyzing and recording transactions) During December, Swanson Auction Co. completed the following transactions:

L0 2 3

- | | | |
|-----|----|---|
| Dec | 1 | Swanson received €27,000 cash and issued ordinary shares to the shareholders. |
| | 5 | Paid monthly rent, €3,000. |
| | 9 | Paid €12,100 cash and signed a €32,000 note payable to purchase land for an office site. |
| | 10 | Purchased supplies on account, €1,600. |
| | 19 | Paid €500 on account. |
| | 22 | Borrowed €19,000 from the bank for business use. Swanson signed a note payable to the bank in the name of the business. |
| | 31 | Service revenue earned during the month included €15,200 cash and €5,000 on account. |
| | 31 | Paid employees' salaries (€2,200), advertising expense (€900), and utilities expense (€1,300). |
| | 31 | Declared and paid a cash dividend of €3,000. |

Swanson's business uses the following accounts: Cash, Accounts Receivable, Supplies, Land, Accounts Payable, Notes Payable, Share Capital, Dividends, Service Revenue, Salary Expense, Rent Expense, Advertising Expense, and Utilities Expense.

Requirements

- Journalize each transaction of Swanson Auction Co. Explanations are not required.
- Post to these T-accounts: Cash, Accounts Payable, and Notes Payable.
- After these transactions, how much cash does the business have? How much does it owe in total liabilities?

L0 2 3 4

P2-72B. (*Learning Objectives 2, 3, 4: Understanding how accounting works; journalizing transactions; posting; preparing and using a trial balance*) During the first month of operations, O'Shea Plumbing, Inc., completed the following transactions:

Jan 2	O'Shea received €28,000 cash and issued ordinary shares to the shareholders.
3	Purchased supplies, €500, and equipment, €3,100, on account.
4	Performed service for a client and received cash, €3,000.
7	Paid cash to acquire land, €20,000.
11	Performed service for a customer and billed the customer, €1,200. We expect to collect within one month.
16	Paid for the equipment purchased January 3 on account.
17	Paid the telephone bill, €120.
18	Received partial payment from customer on account, €570.
22	Paid the water and electricity bills, €120.
29	Received €1,300 cash for servicing the heating unit of a customer.
31	Paid employee salaries, €1,800.
31	Declared and paid dividends of €2,500.

Requirements

1. Record each transaction in the journal. Key each transaction by date. Explanations are not required.
2. Post the transactions to the T-accounts, using transaction dates as posting references.
3. Prepare the trial balance of O'Shea Plumbing, Inc., at January 31 of the current year.
4. The manager asks you how much in total resources the business has to work with, how much it owes, and whether January was profitable (and by how much).

L0 4 5

P2-73B. (*Learning Objectives 4, 5: Recording transactions directly in T-accounts; preparing and using a trial balance*) During the first month of operations (March 20X6), Silver Entertainment Corporation completed the following selected transactions:

- a. The business received cash of €35,000 and a building valued at €55,000. The corporation issued ordinary shares to the shareholders.
- b. Borrowed €32,300 from the bank; signed a note payable.
- c. Paid €31,500 for music equipment.
- d. Purchased supplies on account, €300.
- e. Paid employees' salaries, €2,100.
- f. Received €1,800 for music service performed for customers.
- g. Performed service for customers on account, €2,700.
- h. Paid €200 of the account payable created in Transaction d.
- i. Received a €700 bill for advertising expense that will be paid in the near future.
- j. Received cash on account, €1,500.
- k. Paid the following cash expenses: (1) rent, €1,000; (2) advertising, €700.

Requirements

1. Record each transaction directly in the T-accounts without using a journal. Use the letters to identify the transactions.
2. Prepare the trial balance of Silver Entertainment Corporation, at March 31, 20X6.

APPLY YOUR KNOWLEDGE

Decision Cases

L0 4 5

Case 1. (*Learning Objectives 4, 5: Recording transactions directly in T-accounts; preparing a trial balance; measuring net income or loss*) A friend named Jay Barlow has asked what effect certain transactions will have on his company. Time is short, so you cannot apply the detailed procedures of journalizing and posting. Instead, you must analyze the transactions without the use of

a journal. Barlow will continue the business only if he can expect to earn monthly net income of at least \$5,000. The following transactions occurred this month:

- a. Barlow deposited \$5,000 cash in a business bank account, and the corporation issued ordinary shares to him.
- b. Borrowed \$5,000 cash from the bank and signed a note payable due within 1 year.
- c. Paid \$1,300 cash for supplies.
- d. Purchased advertising in the local newspaper for cash, \$1,800.
- e. Purchased office furniture on account, \$4,400.
- f. Paid the following cash expenses for 1 month: employee salary, \$2,000; office rent, \$1,200.
- g. Earned revenue on account, \$7,000.
- h. Earned revenue and received \$2,500 cash.
- i. Collected cash from customers on account, \$1,200.
- j. Paid on account, \$1,000.

Requirements

- Set up the following T-accounts: Cash, Accounts Receivable, Supplies, Furniture, Accounts Payable, Notes Payable, Share Capital, Service Revenue, Salary Expense, Advertising Expense, and Rent Expense.
- Record the transactions directly in the accounts without using a journal. Key each transaction by letter.
- Prepare a trial balance for Barlow Networks, Inc., at the current date. List expenses with the largest amount first, the next largest amount second, and so on.
- Compute the amount of net income or net loss for this first month of operations. Why would you recommend (or not) that Barlow continue in business?

Case 2. (*Learning Objective 2: Correcting financial statements; deciding whether to expand a business*) Gianna Loren opened an Italian restaurant. Business has been good, and Gianna is considering expanding the restaurant. Gianna, who knows little accounting, produced the following financial statements for Little Italy, Inc., at December 31, 20X7, the end of the first month of operations:

L0 2

A1			
A			
B			
C			
Little Italy, Inc. Income Statement Month Ended December 31, 20X7			
1			
2	Sales revenue		\$ 42,000
3	Share capital		10,000
4	Total revenue		52,000
5			
6	Accounts payable		\$ 8,000
7	Advertising expense		5,000
8	Rent expense		6,000
9	Total expenses		19,000
10	Net income		\$ 33,000
11			

A1			
A			
B			
C			
Little Italy, Inc. Balance Sheet December 31, 20X7			
1			
2	Assets		
3	Cash		\$ 12,000
4	Cost of goods sold (expense)		22,000
5	Food inventory		5,000
6	Furniture		10,000
7	Total Assets		\$ 49,000
8	Liabilities		
9	None		
10	Owners' Equity		\$ 49,000
11			

In these financial statements all *amounts* are correct, except for Owners' Equity. Gianna heard that total assets should equal total liabilities plus owners' equity, so she plugged in the amount of owners' equity at \$49,000 to make the Balance Sheet come out even.

Requirement

1. Gianna Loren has asked whether she should expand the restaurant. Her banker says she may be wise to expand if (a) net income for the first month reached \$10,000 and (b) total assets are at least \$35,000. It appears that the business has reached these milestones, but Gianna doubts whether her financial statements tell the true story. She needs your help in making this decision. Prepare a corrected Income Statement and Balance Sheet. (Remember that Retained Earnings, which was omitted from the Balance Sheet, should equal net income for the first month; there were no dividends.) After preparing the statements, give Gianna Loren your recommendation as to whether she should expand the restaurant.



Ethical Issues

Issue 1. Scruffy Murphy is the president and principal shareholder of Scruffy's Bar & Grill, Inc. To expand, the business is applying for a \$250,000 bank loan. To get the loan, Murphy is considering two options for beefing up the owners' equity of the business:

- Option 1.* Issue \$100,000 of ordinary shares for cash. A friend has been wanting to invest in the company. This may be the right time to extend the offer.
- Option 2.* Transfer \$100,000 of Murphy's personal land to the business, and issue ordinary shares to Murphy. Then, after obtaining the loan, Murphy can transfer the land back to himself and zero out the ordinary shares.

Requirements

Use the ethical decision model (in Chapter 1) to answer the following questions:

1. What is the ethical issue?
2. Who are the stakeholders? What are the possible consequences to each?
3. Analyze the alternatives from the following standpoints: (a) economic, (b) legal, and (c) ethical.
4. What would you do? How would you justify your decision? How would your decision make you feel afterward?

Issue 2. Part a. You have received your grade in your first accounting course, and to your amazement, it is an A. You feel the instructor must have made a big mistake. Your grade was a B going into the final, but you are sure that you really "bombed" the exam, which is worth 30% of the final grade. In fact, you walked out after finishing only 50% of the exam, and the grade report says you made 99% on the exam!

Requirements

1. What is the ethical issue?
2. Who are the stakeholders? What are the possible consequences to each?
3. Analyze the alternatives from the following standpoints: (a) economic, (b) legal, and (c) ethical.
4. What would you do? How would you justify your decision? How would it make you feel afterward?

Part b. Now assume the same facts as above, except that you have received your final grade for the course and the grade is a B. You are confident that you "aced" the final. In fact, you stayed to the very end of the period, and checked every figure twice! You are confident that the instructor must have made a mistake grading the final.

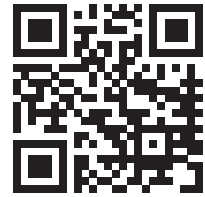
Requirements

1. What is the ethical issue?
2. Who are the stakeholders and what are the consequences to each?
3. Analyze the alternatives from the following standpoints: (a) economic, (b) legal, and (c) ethical.
4. What would you do? How would you justify your decision? How would it make you feel?

Part c. How is this situation like a financial accounting misstatement? How is it different?

Focus on Financials: | Nestlé

This case spans all 12 chapters and is based on the consolidated financial statements of Nestlé. As you work with Nestlé throughout this course, you will develop the confidence and ability to use the financial statements of other companies as well. Refer to Nestlé's financial statements in Appendix A. Alternatively, you may choose to obtain the full annual report from www.nestle.com/investors. You may find the information overwhelming for now, but try to spot the key principles that we have discussed in this chapter. It will get progressively easier as you gain familiarity with the elements of the financial statements.



Assume that Nestlé completed the following transactions during 2016:

- a. Made company sales (revenue) of CHF 89,310 million, all on account.
- b. Collected cash on trade receivable CHF 89,310 million.
- c. Purchased inventories, paying cash of CHF 44,447 million.
- d. Incurred cost of sales in the amount of CHF 44,199 million (debit Cost of Goods Sold [Expense] and credit Inventory).
- e. Paid in cash distribution expenses of CHF 8,059 million.
- f. Paid in cash marketing and administrative expenses of CHF 21,485 million.
- g. Collected other income of CHF 99 million in cash.
- h. Paid income tax expenses of CHF 4,413 million in cash.
- i. Incurred other non-cash expenses of CHF 713 million, to be recorded as “accrued expenses.”
- j. Purchased other assets in cash for £6,982 million.

Requirements

1. Set up T-accounts for Cash (beginning debit balance of CHF 4,884 million); Trade Receivables, (debit balance of CHF 12,252 million); Inventories (debit balance CHF 8,153 million); Sales (CHF 0 balance); Cost of Sales (CHF 0 balance); Distribution expenses (CHF 0 balance); Marketing and administrative expenses (CHF 0 balance); Other income (CHF 0 balance); Income tax expense (CHF 0 balance); and Other non-cash expenses (CHF 0 balance).
2. Journalize Nestlé's transactions a–j. Explanations are not required.
3. Post to the T-accounts, and compute the balance for each account. Key postings by transaction letters a–j.
4. For each of the following accounts, compare your computed balance to Nestlé's actual balances as shown on its 2016 Income Statement or Balance Sheet in Appendix A. Note that in this question, “Other expenses” include Nestlé's other trading expenses, research and development costs, other operating expenses, financial expenses, and profit attributable to non-controlling interests. “Other income” includes Nestlé's other revenue, other trading income, other operating income, financial income, and income from associates and joint ventures. Your amounts should agree with the actual figures in Nestlé's financial statements.
 - a. Cash
 - b. Trade Receivable
 - c. Inventories
 - d. Sales
 - e. Cost of Sales
 - f. Selling and distribution expenses
 - g. Administrative expenses
 - h. Other income
 - i. Income tax expense
 - j. Other assets
5. Use the relevant accounts from requirement 4 to prepare a summary Income Statement for Nestlé for 2016. Compare the net income you computed to Nestlé's actual net income. The two amounts should be equal.

Group Projects

Project 1. You are promoting a rock concert in your area. Your purpose is to earn a profit, so you need to establish the formal structure of a business entity. Assume you organize as a corporation.

Requirements

1. Make a detailed list of 10 factors you must consider as you establish the business.
2. Describe 10 of the items your business must arrange to promote and stage the rock concert.
3. Identify the transactions that your business can undertake to organize, promote, and stage the concert. Journalize the transactions, and post to the relevant T-accounts. Set up the accounts you need for your business ledger. Refer to Appendix D if needed.
4. Prepare the Income Statement, statement of changes in equity, and Balance Sheet immediately after the rock concert, that is, before you have had time to pay all the business bills and to collect all receivables.
5. Assume that you will continue to promote rock concerts if the venture is successful. If it is unsuccessful, you will terminate the business within three months after the concert. Discuss how to evaluate the success of your venture and how to decide whether to continue in business.

Project 2. Contact a local business and arrange with the owner to learn what accounts the business uses.

Requirements

1. Obtain a copy of the business's chart of accounts.
2. Prepare the company's financial statements for the most recent month, quarter, or year. You may use either made-up account balances or balances supplied by the owner.

If the business has a large number of accounts within a category, combine related accounts and report a single amount on the financial statements. For example, the company may have several cash accounts. Combine all cash amounts and report a single Cash amount on the Balance Sheet.

You will probably encounter numerous accounts that you have not yet learned. Deal with these as best you can. The charts of accounts given in Appendix D can be helpful.

Quick Check Answers

- | | |
|---------------------------------------|--|
| 1. <i>c</i> | 7. <i>b</i> ($\$8,000 + x - 24,000 = 12,000$; $x = 28,000$) |
| 2. <i>b</i> | 8. <i>a</i> |
| 3. <i>b</i> | 9. <i>a</i> |
| 4. <i>a</i> ($\$1,700 + 700 - 200$) | 10. <i>a</i> |
| 5. <i>c</i> | 11. <i>a</i> |
| 6. <i>d</i> | 12. <i>b</i> |

MyLab Accounting

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Demo Doc

Debit/Credit Transaction Analysis

To make sure you understand this material, work through the following demonstration “Demo Doc” with detailed comments to help you see the concept within the framework of a worked-through problem.

Learning Objectives 1, 2, 3, 4

On September 1, 20X6, Michael Moe incorporated Moe’s Mowing, Inc., a company that provides mowing and landscaping services. During the month of September, the business incurred the following transactions:

- a. To begin operations, Michael deposited \$10,000 cash in the business’s bank account. The business received the cash and issued shares to Michael.
- b. The business purchased equipment for \$3,500 on account.
- c. The business purchased office supplies for \$800 cash.
- d. The business provided \$2,600 of landscaping works to a customer on account.
- e. The business paid \$500 cash toward the equipment previously purchased on account in transaction b.
- f. The business received \$2,000 in cash for services provided to a new customer.
- g. The business paid \$200 cash to repair equipment.
- h. The business paid \$900 cash for September’s salary expense.
- i. The business received a utilities bill amounting to \$150; it has not paid this bill.
- j. The business received \$2,100 cash from a customer on account.
- k. The business paid cash dividends of \$1,500.

► Requirements

1. Create blank T-accounts for the following accounts: Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, Utilities Payable, Share Capital, Dividends, Service Revenue, Salary Expense, Repair Expense.
2. Journalize the transactions and then post to the T-accounts. Use the table in Exhibit 2-16 to help with the journal entries.

Exhibit 2-16 | The Rules of Debit and Credit

	Increase	Decrease
Assets	debit	credit
Liabilities	credit	debit
Shareholders’ Equity	credit	debit
Revenues	credit	debit
Expenses	debit	credit
Dividends	debit	credit

3. Total each T-account to determine its balance at the end of the month.
4. Prepare the trial balance of Moe’s Mowing, Inc., at September 30, 20X6.

Demo Doc Solutions

► Requirement 1

Create blank T-accounts for the following accounts: Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, Share Capital, Dividends, Service Revenue, Salary Expense, Repair Expense.

Part 1	Part 2	Part 3	Part 4	Demo Doc Complete
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ASSETS	=	LIABILITIES	+	SHAREHOLDERS' EQUITY
Cash		Accounts Payable		Share Capital
		Utilities Payable		Dividends
				REVENUE
Accounts Receivable				Service Revenue
				EXPENSES
Supplies				Salary Expense
				Repair Expense
Equipment				Utilities Expense

Opening a T-account means drawing a blank account that looks like a capital “T” and putting the account title across the top. T-accounts show the additions and subtractions made to each account. For easy reference, the accounts are grouped into assets, liabilities, shareholders’ equity, revenue, and expenses (in that order).

► Requirement 2

Journalize the transactions and show how they are recorded in T-accounts.

Part 1	Part 2	Part 3	Part 4	Demo Doc Complete
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a. To begin operations, Michael deposited \$10,000 cash in the business's bank account. The business received the cash and issued shares to Michael.

First, we must determine which accounts are affected by the transaction.

The business received \$10,000 cash from its principal shareholder (Michael Moe). In exchange, the business issued shares to Michael. So, the accounts involved are Cash and Share Capital.

Remember that we are recording the transactions of Moe’s Mowing, Inc., not the transactions of Michael Moe, the person. Michael and his business are two entirely separate accounting entities.

The next step is to determine what type of accounts these are. Cash is an asset; share capital is part of equity.

Next, we must determine if these accounts increased or decreased. From the business’s point of view, Cash (an asset) has increased. Share Capital (equity) has also increased.

Now we must determine if these accounts should be debited or credited. According to the rules of debit and credit (see Exhibit 2-16), an increase in assets is a debit, while an increase in equity is a credit.

So, Cash (an asset) increases, which requires a debit. Share Capital (equity) also increases, which requires a credit.

The journal entry follows ordinary shares.

A1						
		A	B	C	D	E
1	a	Cash (Asset ↑; debit)	10,000			
2		Share Capital (Equity ↑; credit)		10,000		
3		<i>Issued ordinary shares.</i>				
4						

The total dollar amounts of debits must always equal the total dollar amounts of credits.

Remember to use the transaction letters as references. This will help as we post entries to the T-accounts.

Each T-account has two sides—one for recording debits and the other for recording credits. To post the transaction to a T-account, simply transfer the amount of each debit to the correct account as a debit (left-side) entry, and transfer the amount of each credit to the correct account as a credit (right-side) entry.

This transaction includes a debit of \$10,000 to cash. This means that \$10,000 is posted to the left side of the Cash T-account. The transaction also includes a credit of \$10,000 to Share Capital. This means that \$10,000 is posted to the right side of the Share Capital account, as follows:

Cash		Share Capital	
a.	10,000	a.	10,000

Now the first transaction has been journalized and posted. We repeat this process for every journal entry. Let's proceed to the next transaction.

b. The business purchased equipment for \$3,500 on account.

The business received equipment in exchange for a promise to pay for the \$3,500 cost at a future date. So the accounts involved in the transaction are Equipment and Accounts Payable.

Equipment is an asset and Accounts Payable is a liability.

The asset Equipment has increased. The liability Accounts Payable has also increased.

Looking at Exhibit 2-16, an increase in assets (in this case, the increase in Equipment) is a debit, while an increase in liabilities (in this case, Accounts Payable) is a credit.

The journal entry follows.

A1						
		A	B	C	D	E
1	b	Equipment (Asset ↑; debit)	3,500			
2		Accounts Payable (Liability ↑; credit)		3,500		
3		<i>Purchased equipment on account.</i>				
4						

\$3,500 is then posted to the debit (left) side of the Equipment T-account. \$3,500 is posted to the credit (right) side of Accounts Payable, as follows:

Equipment		Accounts Payable	
b.	3,500	b.	3,500

c. The business purchased office supplies for \$800 cash.

The business purchased supplies, paying cash of \$800. So the accounts involved in the transaction are Supplies and Cash.

Supplies and Cash are both assets.

Supplies (an asset) has increased. Cash (an asset) has decreased.

Looking at Exhibit 2-16, an increase in assets is a debit, while a decrease in assets is a credit.

So the increase to Supplies (an asset) is a debit, while the decrease to Cash (an asset) is a credit.

The journal entry follows:

A1						
		A	B	C	D	E
1	c	Supplies (Asset ↑; debit)	800			
2		Cash (Asset ↓; credit)		800		
3		<i>Purchased supplies for cash.</i>				
4						

\$800 is then posted to the debit (left) side of the Supplies T-account. \$800 is posted to the credit (right) side of the Cash account, as follows:

Cash		Supplies	
a.	10,000	c.	800
		c.	800

Notice the \$10,000 already on the debit side of the Cash account. This came from transaction a.

d. The business provided \$2,600 of landscaping work to a customer on account.

The business rendered landscaping services to a customer and received a promise from the customer to pay \$2,600 cash next month. So the accounts involved in the transaction are Accounts Receivable and Service Revenue.

Accounts Receivable is an asset and Service Revenue is revenue.

Accounts Receivable (an asset) has increased. Service Revenue (revenue) has also increased.

Looking at Exhibit 2-16, an increase in assets is a debit, while an increase in revenue is a credit.

So the increase to Accounts Receivable (an asset) is a debit, while the increase to Service Revenue (revenue) is a credit.

The journal entry follows.

A1					
		A	B	C	D E
1	d	Accounts Receivable (Asset ↑; debit)	2,600		
2		Service Revenue (Revenue ↑; credit)		2,600	
3		Provided services on account.			
4					

\$2,600 is posted to the debit (left) side of the Accounts Receivable T-account. \$2,600 is posted to the credit (right) side of the Service Revenue account, as follows:

Accounts Receivable		Service Revenue	
d.	2,600	d.	2,600

e. The business paid \$500 cash toward the equipment previously purchased on account in transaction b.

The business paid some of the money that it owed on the purchase of equipment in transaction b. The accounts involved in the transaction are Accounts Payable and Cash.

Accounts Payable is a liability that has decreased. Cash is an asset that has also decreased.

Remember that Accounts Payable shows the amount the business must pay in the future (a liability). When the business pays these creditors, Accounts Payable will decrease because the business will then owe less (in this case, Accounts Payable drops from \$3,500—in transaction b—to \$3,000).

Looking at Exhibit 2-16, a decrease in liabilities is a debit, while a decrease in assets is a credit.

So Accounts Payable (a liability) decreases, which is a debit. Cash (an asset) decreases, which is a credit.

A1					
		A	B	C	D E
1	e	Accounts Payable (Liability ↓; debit)	500		
2		Cash (Asset ↓; credit)		500	
3		<i>Partial payment on account.</i>			
4					

\$500 is posted to the debit (left) side of the Accounts Payable T-account. \$500 is posted to the credit (right) side of the Cash account, as follows:

Cash				Accounts Payable			
a.	10,000	c.	800	e.	500	b.	3,500
		e.	500				

Again notice the amounts already in the T-accounts from previous transactions. The reference letters show which transaction caused each amount to appear in the T-account.

f. The business received \$2,000 in cash for services provided to a new customer.

The business received \$2,000 cash in exchange for mowing and landscaping services rendered to a customer. The accounts involved in the transaction are Cash and Service Revenue.

Cash is an asset that has increased, and Service Revenue is revenue, which has also increased.

Looking at Exhibit 2-16, an increase in assets is a debit, while an increase in revenue is a credit.

So the increase to Cash (an asset) is a debit. The increase to Service Revenue (revenue) is a credit.

A1					
		A	B	C	D E
1	f	Cash (Asset ↑; debit)	2,000		
2		Service Revenue (Revenue ↑; credit)		2,000	
3		<i>Provided services for cash.</i>			
4					

\$2,000 is then posted to the debit (left) side of the Cash T-account. \$2,000 is posted to the credit (right) side of the Service Revenue account, as follows:

Cash				Service Revenue			
a.	10,000	c.	800		d.	2,600	
f.	2,000	e.	500		f.	2,000	

Notice how we keep adding onto the T-accounts. The values from previous transactions remain in their places.

g. The business paid \$200 cash to repair equipment.

The business paid \$200 cash to have equipment repaired. Because the benefit of the repairs has already been used, the repairs are recorded as Repair Expense. Because the repairs were paid in cash, the Cash account is also involved.

Repair Expense is an expense that has increased, and Cash is an asset that has decreased.

Looking at Exhibit 2-16, an increase in expenses calls for a debit, while a decrease in an asset requires a credit.

A1					
		A	B	C	D
1	g	Repair Expense (Expense ↑; debit)	200		
2		Cash (Asset ↓; credit)		200	
3		<i>Paid for repairs.</i>			
4					

So Repair Expense (an expense) increases, which is a debit. Cash (an asset) decreases, which is a credit.

\$200 is then posted to the debit (left) side of the Repair Expense T-account. \$200 is posted to the credit (right) side of the Cash account, as follows:

Cash				Repair Expense	
a.	10,000	c.	800	g.	200
f.	2,000	e.	500		
		g.	200		

h. The business paid \$900 cash for September's salary expense.

The business paid employees \$900 in cash. Because the benefit of the employees' work has already been used, their salaries are recorded as Salary Expense. Because the salaries were paid in cash, the Cash account is also involved.

Salary Expense is an expense that has increased, and Cash is an asset that has decreased.

Looking at Exhibit 2-16, an increase in expenses is a debit, while a decrease in an asset is a credit.

In this case, Salary Expense (an expense) increases, which is a debit. Cash (an asset) decreases, which is a credit.

A1					
		A	B	C	D
1	h	Salary Expense (Expense ↑; debit)	900		
2		Cash (Asset ↓; credit)		900	
3		<i>Paid salary.</i>			
4					

\$900 is posted to the debit (left) side of the Salary Expense T-account. \$900 is posted to the credit (right) side of the Cash account, as follows:

Cash				Salary Expense	
a.	10,000	c.	800	h.	900
f.	2,000	e.	500		
		g.	200		
		h.	900		

i. The business received a utilities bill amounting to \$150; it has not paid this bill.

The business received a bill for benefits consumed during the period but has not paid this bill as of September 30, 20X6. This amount owed is a liability and it decreases equity, and thus must be recognized as an expense. We will discuss the accrual accounting concept in more detail later (see Chapter 3).

The accounts affected by this transaction are Utilities Payable and Utilities Expense. The liability account Utilities Payable has increased, and the expense Utilities Expense has increased. Note that we use a different liability account (“Utility Payable” as opposed to the general “Accounts Payable”) to signify the specific liability. Accounts Payable is typically used when we purchase assets or services on account. Looking at Exhibit 2-16, an increase in expense is a debit, and an increase in liability is a credit.

A1					
		A	B	C	D
1	i	Utilities Expense (Expense ↑; debit)	150		
2		Utilities Payable (Liability ↑; credit)		150	
3		Received utilities bill (unpaid).			
4					

\$150 is posted to the debit (left) side of the Utilities Expense T-account, and the other \$150 is posted to the credit (right) side of the Utilities Payable account, as follows:

Utilities Payable		Utilities Expense	
	i. 150	i. 150	

j. The business received \$2,100 cash from a customer on account.

The business received cash of \$2,100 from a customer for services previously provided in transaction d. The accounts affected by this transaction are Cash and Accounts Receivable.

Cash and Accounts Receivable are both assets.

The asset Cash has increased, and the asset Accounts Receivable has decreased.

Remember, Accounts Receivable shows the amount of cash the business has coming from customers. When the business receives cash from these customers, Accounts Receivable will decrease, because the business will have less to receive in the future (in this case, it reduces from \$2,600—in transaction d—to \$500).

Looking at Exhibit 2-16, an increase in assets is a debit, while a decrease in assets is a credit.

So Cash (an asset) increases, which is a debit. Accounts Receivable (an asset) decreases, which is a credit.

A1					
		A	B	C	D
1	j	Cash (Asset ↑; debit)	2,100		
2		Accounts Receivable (Asset ↓; credit)		2,100	
3		Received cash on account.			
4					

\$2,100 is posted to the debit (left) side of the Cash T-account. \$2,100 is posted to the credit (right) side of the Accounts Receivable account, as follows:

Cash		Accounts Receivable	
a. 10,000	c. 800	d. 2,600	j. 2,100
f. 2,000	e. 500		
i. 2,100	g. 200		
	h. 900		

k. The business declared and paid cash dividends of \$1,500.

The business paid Michael dividends from the earnings it had retained on his behalf. This caused Michael's ownership interest (equity) to decrease. The accounts involved in this transaction are Dividends and Cash.

Dividends have increased and Cash is an asset that has decreased.

Looking at Exhibit 2-16, an increase in dividends is a debit, while a decrease in an asset is a credit.

Remember that Dividends are a negative element of shareholders' equity. Therefore, when Dividends increase, shareholders' equity decreases. So in this case, Dividends decrease equity with a debit. Cash (an asset) decreases with a credit.

A1					
	A	B	C	D	E
1	k Dividends (Dividends ↑; debit) ↓ SE	1,500			
2	Cash (Asset ↓; credit)		1,500		
3	<i>Paid dividends.</i>				
4					

\$1,500 is posted to the debit (left) side of the Dividends T-account. \$1,500 is posted to the credit (right) side of the Cash account, as follows:

Cash		Dividends	
a.	10,000	c.	800
f.	2,000	e.	500
i.	2,100	g.	200
		h.	900
		k.	1,500

Now we can summarize all of the journal entries during the month.

A1				
	A	B	C	D
1	Ref.	Accounts and Explanation	Debit	Credit
2	a	Cash	10,000	
3		Share capital		10,000
4		<i>Issued share capital.</i>		
5				
6	b	Equipment	3,500	
7		Accounts payable		3,500
8		<i>Purchased equipment on account.</i>		
9				
10	c	Supplies	800	
11		Cash		800
12		<i>Purchased supplies for cash.</i>		
13				
14	d	Accounts receivable	2,600	
15		Service revenue		2,600
16		<i>Provided services on account.</i>		
17				
18	e	Account payable	500	
19		Cash		500
20		<i>Partial payment on account.</i>		
21				
22	f	Cash	2,000	
23		Service revenue		2,000
24		<i>Provided services for cash.</i>		
25				
26	g	Repair expense	200	
27		Cash		200
28		<i>Paid for repairs.</i>		
29				
30	h	Salary expense	900	
31				900
32		<i>Paid salary.</i>		
33				
34	i	DR utilities expense	150	
35		Utilities payable		150
36		<i>Received utilities bill (not paid).</i>		
37				
38	j	Cash	2,100	
39		Accounts receivable		2,100
40		<i>Received cash on account.</i>		
41				
42	k	Dividends	1,500	
43		Cash		1,500
44		<i>Paid dividends.</i>		
45				

► Requirement 3

Total each T-account to determine its balance at the end of the month.

Part 1	Part 2	Part 3	Part 4	Demo Doc Complete
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To compute the balance in a T-account (total the T-account), add up the numbers on the debit/left side of the account and (separately) add the credit/right side of the account. The difference between the total debits and the total credits is the account's balance, which is placed on the side that holds the larger total. This gives the balance in the T-account.

An easy way to think of totaling T-accounts is:

T-accounts after posting all transactions and totaling each account are as follows:

► Requirement 4

The trial balance lists all the accounts along with their balances. This listing is helpful because it summarizes all the accounts in one place. Otherwise one must plow through all the T-accounts to find the balance of Accounts Payable, Salary Expense, or any other account.

The trial balance is an *internal* accounting document that accountants and managers use to prepare the financial statements. It's not like the Income Statement and Balance Sheet, which are presented to the public.

Data for the trial balance come directly from the T-accounts that we prepared in Requirement 3. A debit balance in a T-account remains a debit in the trial balance, and likewise for credits. For example, the T-account for Cash shows a debit balance of \$10,200, and the trial balance lists Cash the same way. The Accounts Payable T-account shows a \$3,000 credit balance, and the trial balance lists Accounts Payable correctly.

The trial balance for Moe's Mowing at September 30, 20X6, appears as follows. Notice that we list the accounts in their proper order—assets, liabilities, shareholder's equity, revenues, and expenses.

A1					
	A		B	C	D
	Moe's Mowing, Inc.				
	Trial Balance				
	September 30, 20X6				
1					
2			Balance		
3			Debit	Credit	
4	<i>Assets</i>	Cash	\$ 10,200		
5		Accounts receivable	500		
6		Supplies	800		
7		Equipment	3,500		
8	<i>Liabilities</i>	Accounts payable		\$ 3,000	
9		Utilities payable		150	
10	<i>Equity</i>	Share capital		10,000	
11		Dividends	1,500		
12	<i>Revenues</i>	Service revenue		4,600	
13	<i>Expenses</i>	Salary expense	900		
14		Repair expense	200		
15		Utilities expense	150		
16		Total	\$ 17,600	\$ 17,600	
17					

You should trace each account from the T-accounts to the trial balance.

Part 1	Part 2	Part 3	Part 4	Demo Doc Complete
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